

PROPERTY PRACTICE



CREDITS

All screenshots of diagrams in this set of notes are from *The University of Law SQE1 Property Practice Manual* by Anne Rodell.

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ACRONYMS AND FORMATTING

- A1: Assignor
- A2: Assignee
- A2S: Assignee's solicitor
- AGA: Authorised Guarantee Agreement
- BCA: Building Control Authority
- BEMOC: Building, engineering, mining, other operations in, on, over and under land, or material change in use
- BFPFVWN: Bona fide purchaser for value without notice
- BS: Buyer's solicitor
- CFE: Contract for exchange
- CH: Companies House
- CRAR: Commercial Rent Arrears Recovery
- COC: Code of Conduct for Solicitors, RELs and RFLs

- COT: Certificate of Title
- CQS: Conveyancing Quality Scheme
- DD: Due diligence
- E&W: England & Wales
- EA: Environmental Agency
- EPA 1990: Environmental Protection Act 1990
- EPC: Energy Performance Certificate
- FQC: Fully qualified covenants
- FRI: Full repairing and insuring lease
- FSMA 2000: Financial Services and Markets Act 2000
- GPDO: General Permitted Development Order 2015
- HLL: Head landlord
- HMRC: Her Majesty's Revenue and Customs
- HT: Headtenant
- JT: Joint tenant
- LC: Land Charges
- LCD: Land Charges Department
- LL: Landlord
- LLS: Landlord's solicitor
- LoA: Licence to Assign
- LPA: Local Planning Authority
- LPA 1925: Law of Property Act 1925
- LR: Land Registry
- LS: Lender's solicitor
- LSCP: Law Society Conveyancing Protocol
- LTA: Landlord and Tenants Act 1954
- LTCA: Landlord and Tenant (Covenants) Act 1995
- LTT: Land Transaction Tax
- NPV: Net present value
- PC: Positive covenant
- PP: Planning Permission
- PR: Personal representative
- PRR: Private Residence Relief
- QC: Qualified covenants
- RC: Restrictive covenants
- RICS: Royal Institute of Chartered Surveyors
- RL: Registered land
- S/CP: Spouse or civil partner
- S&E: Searches & enquiries
- SC: Standard Conditions of Sale (5th edition - 2018 revision)
- SCPC: Standard Commercial Property Conditions (3rd edition - 2018 revision)
- SDLT: Stamp Duty Land Tax
- SS: Seller's solicitor
- TIC: Tenant in common
- TID: Title Information Document
- TPO: Tree Preservation Order
- TS: Tenant's solicitor
- UI: Undue influence
- URL: Unregistered land
- UT: Undertenant
- UTS: Undertenant's solicitor
- VAT: Value Added Tax
- WRA: Welsh Revenue Authority

- Definitions
- Terminology
- Forms / Documents / Institutions
- Tests / Conditions / Steps
- Lists
- Factors / Sublists
- Rules (to remember) (basically everything)
- Figures / Formulas / Dates
- Statutes / Protocols / Guidelines
- Case law
- Example

FORMS

CHAPTER	FORM	PURPOSE	RULES
The Key Elements and Structure of a Freehold Property Transaction 1.2.4 The Law Society Conveyancing Protocol	TA06	Property Information Form Where the Law Society Conveyancing Protocol is used, this is the form used for the standardised pre-contract enquiries to the seller that the SS will ask their client to complete for a freehold property	
The Key Elements and Structure of a Freehold Property Transaction 1.6 Property Taxation Completion 5.8 Post-completion Steps Procedural Steps for the Grant of a Lease or Underlease 7.8.2 SDLT and LTT	SDLT1	SDLT is paid to HMRC (usually by online bank transfer) accompanied by this form, which provides the necessary details of the transaction	SDLT1 + Payment must be made within 14 days of completion of transfer / grant of lease Otherwise, LR will not register the transfer of property. Failure to file and pay on time may also attract penalties and interest.
Completion 5.8 Post-completion Steps	SDLT5 / WRA Certificate	Produced by HMRC or WRA as proof that the tax has been duly paid on transaction	Should accompany any application to the LR to register the buyer as the new registered proprietor
Investigation of Title 2.4 How to investigate title to freehold unregistered land	SIM	Search of the Index Map at the LR Check whether mines and minerals are registered under a separate title.	

2.5.2 Mines and minerals exceptions and reservations Pre-contract Searches and Enquiries 3.3.2 Searches and enquiries for particular properties and transactions (g) Unregistered land searches			
Investigation of Title 2.4 How to investigate title to freehold unregistered land	K15	Search against each estate owner for the period that they owned an unregistered title.	Only the years need to be entered onto the K15 form. Can search back to 1926, where the land charge system was introduced
Pre-contract Searches and Enquiries 3.3 The range and type of searches and enquiries available			
<u>LOCAL SEARCH</u> → Should be raised on every sale and purchase of property to the local authority, but only relates to the property itself and not adjoining land.	LLC1	Local Land Charges Search Provides details of any financial charges or restrictions on land that have been imposed by public authorities under statute • Planning consents for any change of use and building operations • Tree preservation orders (TPOs) • Conservation area designation orders (may also be revealed in CON29). It will be more difficult to make changes to the property than normal • Smoke control orders (restricts the use of non-smokeless fuels in domestic fireplaces) NOTE: Does NOT reveal planning consents in relation to adjoining property	Sent to the local authority
	CON29	Standard enquiries Reveals information such as • Planning permissions granted • Restrictions on permitted development (e.g. Art 4 Direction) • Enforcement notice / stop notice if there has been a planning breach • Whether land had been	Sent to the local authority

		designated as contaminated land Liability for road repair (Enquiry 2)	
	CON290	Optional enquiries Covers a range of diverse matters - Environmental and pollution notices - Rights over common land (Enquiry 22)	Sent to the local authority
<u>WATER AND DRAINAGE SEARCH</u> → These enquiries are raised with the statutory undertaker, usually a water company, not the local authority	CON29DW	Standard drainage and water enquiries for residential properties - To establish whether the drains and sewers serving the property are 'adopted' and therefore the responsibility of the statutory undertaker rather than the owner of the property - Reveal whether the property is connected to a public sewer for both foul + surface water drainage - If the property does not drain into a public sewer, the buyer will be liable for the costs of maintaining the drains and sewers, and may be liable for the costs of bringing them up to adoption standard if the water authority decides to adopt them - Reveal whether the property is connected to a public water supply.	Sent to the statutory undertaker, usually a water company
	Commercial DW	Same as the above but for commercial properties	Sent to the statutory undertaker, usually a water company
<u>ENVIRONMENTAL SEARCHES</u> → Environmental searches and enquiries should be carried out since there is a good chance that a solicitor will be found negligent if they do not advise on the risk and liability where the property is	Desktop search	Looks at all the plans of the area, information published by local authorities and the Environmental Agency If the local search, survey or desktop search identify a risk that the land may be contaminated, the buyer may consider commissioning a physical survey of the land to be carried out by a specialist environmental surveyor.	
	CON29 + CON290	Has optional enquiries of the local authority relating to entries and notices	Sent to local authority

found to be contaminated land under the EPA 1990. The cost of cleaning up contaminated land can rest with the owner or occupier of the property and not just the original polluter.		made under the EPA 1990 But not sufficient to identify environmental risks which may exist. E.g. The enquiry in the CON29 form asks whether a notice has been served designating the property as contaminated land, but a negative reply may just mean that the local authority has not inspected the property yet.	
<u>MINING SEARCHES</u> → Makes sense to carry out a coal mining search of every property in a coal mining area, which are identified in the Coal Authority's interactive map viewer	CON29M	Coal mining search of the Coal Authority to confirm • Whether mining has taken place in the past / is likely to take place in the future • Whether there are shafts on the property • The existence of underground workings which may cause problems with subsidence • Whether any claims for subsidence damage have been paid in the past or are pending	Sent to Coal Authority
<u>BANKRUPTCY or INSOLVENCY SEARCH</u> → LS should make a search against the borrower	K16	LS can search against the borrower to ensure there are no bankruptcy / insolvency proceedings affecting them. For REGISTERED land (for unregistered land, solicitor will already be making a LC search under K15)	Should be made just before completion, or also prior to the exchange of contracts For individuals: Made to the LCD in Plymouth For companies: Companies House
<u>UNREGISTERED LAND SEARCHES</u>	SIM	Search of the Index Map at the LR. Particularly where the property appears to be UNREGISTERED land or where there is a mines and minerals reservation in the title • Check whether mines and minerals are registered under a separate title. • To see if the land is already registered, or registration is pending, or if there is a caution against first registration	Sent to LR
	Land Charges Department Search	Together with SIM, against the seller and previous estate owners in any purchase of unregistered land	
	K15	To see if certain types of incumbrance have been protected by registration	Sent to LCD in Plymouth

		against the relevant estate owner so as to be binding on the buyer	
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4. Preparation for and Exchange of Contracts

4.10 Purpose of, and timing for issuing, a certificate of title to the lender	Certificate of title	For residential transactions. Certifies good and marketable title - No legal problems with the property and lender can safely lend against it - Who will own the property once the sale is completed - Completion date when the funds are needed	Must be approved by the Law Society and UK Finance
	Certificate of title	For commercial transactions. More detailed. It is a report about the property and summary of the information ascertained by the solicitor in title investigation and the pre-contract searches and enquiries.	Produced by the City of London Law Society Prepared by the BS based on information in their pre-contract investigations

Completion 5.3 Form of transfer deed and formalities for execution 5.4.1 Pre-completion search of the title 5.4.2 Checking for buyer’s solvency on behalf of lender

<u>PRE-COMPLETION SEARCH OF TITLE (REGISTERED)</u> → Generally carried out by BS and should be made as close to the completion date as possible	TR1	Transfer the whole of registered freehold title	SS completes the transaction by dating the TR1. LS can only date the mortgage deed after TR1 has been dated.
	TP1	Transfer a part of registered freehold title	
	OS1	LR search against the title number to see if any new entries have been made since the search from date (the date on which the official copies were produced) Gives details of - The title number - Address of the property - Names of registered proprietors - Names of applicants - Reason for the search Used for when the whole property is being sold	Search against title number Standard fee for each search
	OS2	Used for when only a part of the property is being sold	Usually needs to be accompanied by a plan unless a layout plan has been approved by the LR

	OS1R/OS2R	Results of the search, revealing any new entry made since the search from date and confers a priority period of 30 working days onto the applicant from the date of the search result.	The buyer will take free from any new entries made in the priority period, PROVIDED they submit their application for registration by 12 noon on the last day of the priority period
	K16	Solicitor can apply for a Bankruptcy only search to limit the search to the bankruptcy register at the Land Charges Department	Note: If seller is a company, BS should carry out a further Company Search prior to completion to reveal whether it is • Still in existence • Solvent • Whether it has created any fixed/floating charges
<u>PRE-COMPLETION SEARCH OF TITLE (UNREGISTERED)</u>	K15	Land charges search for URL Usually made as a pre-exchange search, but will need to be repeated against the current seller's name unless the transaction can be completed within the 15 day priority period conferred by the pre-exchange search	Search against owner's names (also a bankruptcy search) Fee for each name searched
	K18	Results of K15 search. Confers a priority period of 15 working days from the date of the result.	Searcher will take free of any entries made on the register between the date of the search and the date of completion, provided that completion takes place during the 15 day working period
5.5 Practical arrangements for completion	TA13	Completion Information Form BS sends to SS to complete Used for residential properties, asking the seller to confirm important information relevant to completion • Arrangements for handing over keys • Place and method of completion • Documents to be handed over at completion • Exact amount payable by the buyer on completion Contains the undertaking that SS gives to redeem the mortgage out of the completion money on completion.	
Completion 5.8 Post-completion steps			
5.8.1 Discharge of the seller's mortgage 5.8.4 Land Registry application(s)	DS1	Discharge of the seller's mortgage	Once the lender has received the amount required to redeem the mortgage from SS, they will either • complete DS1 and send it to SS for

			onward transmission to BS • Submit e-DS1 electronic discharge through the LR portal • Use the Electronic Discharge system to send an electronic message to the LR
LR APPLICATIONS REGISTERED LAND	AP1	LR application for REGISTERED land Applications to • have the buyer registered as the registered proprietor of the land • have the lender registered as the registered proprietor of the charge • Possibly, if DS1 had been used, the BS has to apply for the mortgage to be discharged	Certified copy of the transfer should be submitted with the application + Fee + SDLT5/LTT certificate + DS1 If relating to properties of more than £5,000 in value require the applicant to give details of the conveyancer acting for each party and, where a party is not represented, provide evidence of that party's identity.
	DI	An applicant for registration must complete this form setting out any overriding interests that burden the title It will be entered onto the register and thus cease to be overriding	
LR APPLICATIONS UNREGISTERED LAND	FR1	Application for first registration of title	Must be made within 2 months of completion Registrar needs to investigate the title to decide the title class, so it must access all documents which form the evidence of the title supplied by SS. If relating to properties of more than £5,000 in value require the applicant to give details of the conveyancer acting for each party and, where a party is not represented, provide evidence of that party's identity.
	DL	One copy will be returned to the applicant's solicitor, giving an estimate of the likely time which the LR expects to take to deal with the application	Documents should be numbered in chronological sequence on form DL and include • All documents which formed the evidence of title supplied by SS • All the buyer's pre-contract searches and enquiries relating to the title with their replies • The contract • Requisitions on title with their replies • Pre-completion search certificates • Transfer deed • Seller's mortgage, duly receipted

			• SDLT/LTT certificate • Form DI
	TID	An official copy of the entries on the register. Forwarded by LR to BS. Although this is not strictly a document of title, it is for the buyer to keep as evidence that it is the new owner. The BS and LS should check it to ensure that the transfer and mortgage has been correctly registered.	

KEY SC/SCPC PROVISIONS

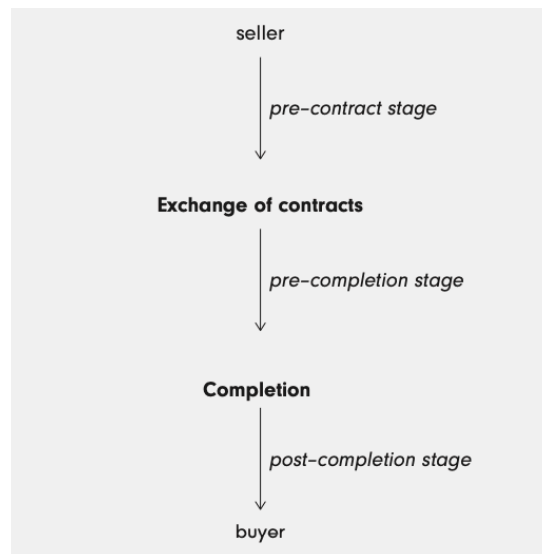
Red = Differences

SC	SCPC
Condition: Seller sells free of all incumbrancers other than Specified Incumbrances and the following: Types of incumbrances: • Specified incumbrances • Discoverable by inspection before contract date • Seller could not reasonably know about • Public requirements Additionally: • Incumbrances known to buyer (except mortgage) • Entries made before the contract in public registers	Condition: Seller sells free of all incumbrancers other than Specified Incumbrances and the following: Types of incumbrances: • Specified incumbrances • Discoverable by inspection before contract date • Seller could not reasonably know about • Public requirements Additionally: • Matters disclosed or would have been disclosed by S/E with a prudent buyer (other than mortgage)
Default: Full title guarantee	Default: Full title guarantee
Default: Law Society's interest rate (4% above Barclay's)	Default: Law Society's interest rate (4% above Barclay's)
Deposit of 10% of purchase price payable as stakeholder, but allows seller to use the deposit as deposit on a related purchase of a house for the seller. Remainder is held as stakeholder	Deposit of 10% of purchase price payable as stakeholder
Electronic payment / Cheque	Electronic payment only
Electronic payment must come from a conveyancer's account at a clearing bank. Must be paid into the account in the name of the seller's conveyancer at a clearing bank OR the account of a conveyancer nominated by the seller's conveyancer	Electronic payment must come from a conveyancer's account at a clearing bank. Must be paid into the account in the name of the seller's conveyancer at a clearing bank

If there is a positive covenant, the buyer must give the seller a personal indemnity covenant in the transfer. Should the buyer breach them, they must indemnify the seller	If there is a positive covenant, the buyer must give the seller a personal indemnity covenant in the transfer. Should the buyer breach them, they must indemnify the seller
Risk of damage to property passes to the buyer upon exchange of contracts. Seller has no obligation to insure.	Risk of damage to property passes to the buyer upon exchange of contracts. Seller has no obligation to insure.
If the seller agrees to insure, the seller must maintain the policy until completion. If damage occurs before completion, the seller must transfer insurance proceeds or assign policy rights to the buyer	If the seller agrees to insure, the seller must maintain the policy until completion. If damage occurs before completion, the seller must transfer insurance proceeds or assign policy rights to the buyer
If there are multiple policies, and the buyer cannot recover the full amount to repair or reinstate something, the purchase price will be reduced accordingly	If there are multiple policies, and the buyer cannot recover the full amount to repair or reinstate something, the purchase price will be reduced accordingly
Purchase price and contents price are inclusive of any VAT	Purchase price and contents are exclusive of VAT. Seller must warrant that the sale is subject to VAT OR Purchase price and contents are exclusive of VAT, but VAT can be added if the tax law changes from exchange to completion
Completion money is to be paid by direct transfer or electronic transfer made from a conveyancer's account in cleared funds	Completion money is to be paid by direct transfer or electronic transfer made from a conveyancer's account in cleared funds
Default completion time must be before 2pm on the completion date, or else it is treated as occurring on the next working day due to the buyer's default. Time is not of the essence unless a notice to complete has been served. Once served, the other party has 10 working days to complete	Default completion time must be before 2pm on the completion date, or else it is treated as occurring on the next working day due to the buyer's default. Time is not of the essence unless a notice to complete has been served. Once served, the other party has 10 working days to complete
Late completion: Both buyer and seller can be required to pay compensation	Late completion: ONLY buyer can be required to pay compensation
Agreement for lease 1. Lease/Underlease in the form annexed to the draft agreement or contract 2. Landlord supplies engrossed lease/underlease to the tenant at least 5 working days before completion	Agreement for lease 1. Lease/Underlease in the form annexed to the draft agreement or contract 2. Landlord supplies engrossed lease/underlease to the tenant at least 5 working days before completion
For leases over 7 years , the landlord is required to provide title sufficient for absolute leasehold registration	For leases over 7 years , the landlord is required to provide title sufficient for absolute leasehold registration

Either party may rescind the contract if · Consent is not obtained 3 working days before completion, OR · By that time, consent is subject to an unreasonable condition for the assignee, who rejects it	If consent is not completed by completion date, completion is postponed until 5 working days after assignor notifies assignee of consent Rescission is allowed only after 6 months from the original completion date. Either party can rescind by serving notice on the other
Do not require the deduction of freehold title for assignments	Do not require the deduction of freehold title for assignments
New leases: Entitles assignor to include an indemnity where they will remain liable after completion	New leases: Entitles assignor to include an indemnity where they will remain liable after completion

1. KEY ELEMENTS AND STRUCTURE OF A FREEHOLD PROPERTY TRANSACTION



(A) KEY ELEMENTS & STRUCTURE OF FREEHOLD PROPERTY TRANSACTIONS

• Pre-contract stage

- **(1) Instructions and initial checks** → BS and SS take instructions from their clients to identify any issues or points of consensus to minimise future delays
 - **Caveat Emptor** → Due to the principle of “buyer beware”, BS undertakes a thorough investigation to **verify the title** and check for **encumbrances/restrictions**
- **(2) BS conducts S&Es**
 - **Requisitions** = Questionnaires relating to the sale of property
 - **CFE usually includes a provision prohibiting the buyer from raising further queries on the title after exchange.**
 - → BS must be satisfied with the title **before** exchange
 - **Seller is not obliged to disclose information** about the property other than about limited matters of title. Seller will not be liable for any defects in the property that later come to light
 - **BUT Seller MUST NOT give misleading answers to the buyer's enquiries** → Incorrect replies from seller may give rise an action for **misrepresentation**
- **(3) Pre-Contract Package** → SS sends a draft CFE and title documents to BS
- **(4) Exchange of contracts** → BS arranges for buyer to pay a deposit (usually **10%** of purchase price) and the parties exchange contracts, finalising the completion date
 - Exchanging contracts is not compulsory but it is useful for:
 - Fixing the completion date
 - Giving the buyer time to make final preparations between exchange and completion

- Ensuring certain conditions are fulfilled before completion
 - Parties are **not bound** to the transaction until CFE
 - **Gazumping** = Seller accepts a higher price from another buyer
 - **Gazundering** = Buyer offers a lower price to the seller
 - Once contracts are exchanged, buyer has an **Estate Contract**
- **Pre-completion stage**
 - **(5) Final documentation** → Transfer deed is prepared, signed, and pre-completion checks are conducted to confirm the validity of earlier information
 - **(6) Completion arrangements** → Both BS and SS confirms that funds and keys are available for the agreed completion date
- **Post-completion stage**
 - **(7) Mortgage clearance** → SS ensures any outstanding mortgage is cleared and removed from the title
 - **(8) SDLT payment** → BS arranges for the payment of applicable taxes
 - **(9) Registration** → BS registers the buyer's ownership and any new mortgage with the LR
- **The Law Society Conveyancing Protocol**
 - **Law Society Conveyancing Protocol (LSCP)** = Applies to **residential** transactions, setting out a standardised procedure to streamline the conveyancing process
 - Where the LSCP is used, standard pre-contract enquiries to the seller and SS will be done via a **Property Information Form (Form TA06)**
 - **Conveyancing Quality Scheme (CQS)** = CQS membership is essential for firms **acting for lenders**, especially if the buyer takes out a mortgage
 - All firms that undertake residential conveyancing and are members of CQS are required to comply with the LSCP, a Client Service Charter and mandatory training and enforcement procedures

CONVEYANCING PROCEDURE: SALE OF FREEHOLD ESTATE

Seller's Solicitor	Both Solicitors	Buyer's Solicitor
Pre-contract stage		
Takes instructions from seller	Check for conflicts of interest	Takes instructions from buyer (and possibly lender)
Investigate and deduce title to buyer		Investigate title
Reply to buyer's pre-contract S/E		Raise pre-contract S/E (and check buyer client has commissioned survey)
Draft CFE		Approve draft CFE
		Prepare pre-exchange report to client
	Obtain client signatures to the contract	
	Exchange contracts	Pay the deposit
Pre-completion stage		
Approve draft transfer deed		Draft the transfer deed

		Draft the mortgage deed if acting for lender and obtain client execution of mortgage deed
Reply to buyer's pre-completion S&E Give undertaking to discharge seller's mortgage		Raise pre-completion S&E Updating and checking the buyer's solvency if acting for lender
		Submit report on title/ certificate of title to lender and request mortgage advance if appropriate
	Complete transaction	
Post-completion stage		
Post-completion matters including discharging existing mortgage if necessary		Post-completion matters (including paying SDLT/LTT and registering the transfer of title with LR)

(B) PROFESSIONAL CONDUCT ISSUES

Acting for	Advice
Seller + Buyer	• Conflict of interest: Especially if there's a price negotiation or unequal bargaining power. • Unacceptable: The 'substantially common interest' exception does NOT apply in property transactions between buyer and seller as each party has distinct interests ◦ Para 6.2(b) COC: Might be possible to act for two buyers competing against each other for the same property
Joint BUYERS	• Acceptable with Caution: Usually acceptable to act for joint buyers if there's no conflict of interest. ◦ Separate advice on equitable interest (especially for non-S/CP buyers) may be necessary
Borrower + Lender	• Acceptable: Solicitors can typically act for both buyer and lender in residential transactions provided it is a standard mortgage with no conflict of interest ◦ Para 6.2(a) COC exception may also apply → Both buyer and lender must give informed written consent, effective safeguards must be put in place and the solicitor must be satisfied that it is reasonable for them to act for both clients • Unacceptable: Risk of conflict is high if: ◦ (i) The mortgage is a standard mortgage but you do not use the approved certificate of title

	○ (ii) The mortgage is not a standard mortgage of property to be used as the borrower's private residence ■ standard mortgage = provided in the normal course of the lender's activities, where a significant part of the lender's activities consists of lending and the mortgage is on standard terms ■ Usually complex commercial transactions do not have standard mortgage documents, but it is common for LS to ask BS to carry out the title investigation and S/E and to report to the lender
Joint BORROWERS	● Acceptable with Caution: Conflicts may arise if one spouse mortgages a jointly-owned home for a business loan ○ No rebuttable presumption of UI between married people, BUT the lender is put on enquiry because the transaction is not to the spouse's advantage. ○ To act for joint borrowers → Etridge Guidelines and Para 6.2 COC must be followed ■ Etridge applies to any relationship where UI could arise, such as S/CP or family (see below)

Etridge guidelines (Royal Bank of Scotland v Etridge (No 2) [2001] UKHL 44)

- **(1) Lender should provide LS with information with the borrower's consent**
 - LS should ensure they have full details from the lender, including
 - Purpose of loan
 - Borrower's current debt and overdraft facility
 - Amount and terms of the loan
 - Borrower's written application for the loan if available
- **(2) LS should provide clear, in-person advice to the non-borrowing spouse**
 - LS should meet with the non-borrowing spouse (or other family member) **separately** to ensure they understand the transaction.
 - This includes
 - Explaining LS's role, especially that their advice is crucial to prevent claims of undue influence
 - Informing the spouse of the lender's reliance on LS involvement
 - Obtaining confirmation from the spouse that they wish to proceed and want LS to advise them
- **(3) Detailed explanation of the transaction in non-technical language**
 - LS's advice should
 - Explain the nature of loan documents
 - Describe the risks and possible consequences of signing
 - Emphasising that the spouse has the right to decide whether or not to continue
- **(4) Documentation and confirmation**
 - If the spouse chooses to proceed, they may ask LS to confirm to lender that they have been properly advised
 - LS must ensure that they have
 - **express permission** from the spouse to communicate this to the lender
 - **reviewed the relevant documents** provided by the lender
- **(5) Declining to act if necessary**
 - If the solicitor believes that the transaction is not in the spouse's best interests or that the spouse could be unduly disadvantaged, they should:
 - Advise the spouse accordingly.

	■ Decline to act if the disadvantage is “glaringly obvious” and would cause significant harm.
Contract races	● Disclosure Requirements: When multiple buyers compete to exchange contract first, the solicitor must inform all prospective buyers of the race to avoid misleading them ● If the seller refuses to disclose this to buyers → Solicitor must cease representation
Undertakings	● Binding Nature: Undertakings are binding, and failure to perform them within an agreed timescale constitutes professional misconduct. ● Solicitors must only provide undertakings they can control directly.

(C) SOURCES OF FINANCE FOR A PROPERTY TRANSACTION

- **Common financing options**
 - **(a) Banks and Building Societies** → Most common sources of long-term financing for residential purchases. Competitive rates and flexible loan terms
 - **(b) Employer Mortgages** → Certain employers may offer concessionary mortgage rates to employees
 - **(c) Family loans / Trust funds** → Clients may borrow from family members or trust funds, which typically requires each party to have **separate legal advice**
 - **(d) Government-backed Schemes** → Options like ‘Help to Buy’ provide equity loans for first-time buyers, particularly for new-build properties.
 - **Help to Buy = Equity loan of up to 20% (40% in London) of the value of a new-build home priced up to £600,000**
 - **(e) Commercial Property Finance** → Generally more complex, with diverse loan structures based on the property’s income potential.
- **Legal Limitations on Solicitor Advice for Financing**
 - Solicitors should provide clients with the best possible information about the likely overall cost of the matter, at the beginning and at appropriate points throughout the transaction
 - Explaining fees, when they are likely to change, warning client about possible costs
 - SDLT/LTT, LR fees, S/E fees
 - **Financial Services and Markets Act 2000**
 - **Regulated activities** = General advice on mortgage types is permissible, but advising on **specific mortgage products** may constitute a regulated activity under **FSMA 2000**
 - **Regulated mortgage contract** = (i) Borrower is an individual, (ii) the lender takes a first legal charge over the property in the UK and (iii) **at least 40%** of the property is intended for occupation by the borrower/member of their immediate family
 - But giving **generic advice** such as the differences between types of mortgage, or arranging the execution of a mortgage chosen independently by the client or on the advice of an authorised person is allowed.
 - **S.327 FSMA 2000** exemption → **Incidental**, but subject to SRA **FS Scope** Rules and SRA **FS COB** rules
 - Solicitors without FCA authorization should refer clients to an FCA-authorized adviser if the client requires specific financial advice.
- **Types of Mortgages**
 - **(1) Repayment Mortgages**

- **Structure:** Monthly payments cover both principal and interest, meaning the loan is fully repaid by the end of the term.
- **Interest Rate Options:**
 - **Variable Rate:** Fluctuates with the lender's standard rate.
 - **Fixed Rate:** Fixed interest for an initial term, then reverts to variable.
 - **Tracker Rate:** Tracks the **Bank of England's** base rate plus a set percentage.

○ (2) Interest-only Mortgages

- **Structure:** Monthly payments cover only the interest. The principal remains outstanding at the end of the term
- **Benefits:** Lower monthly payments than a repayment mortgage
- **Disadvantages:** Requires alternative arrangements (e.g., investment funds) to pay off the principal.

○ (3) Combined and Alternative Mortgages

- Some loans combine both repayment and interest-only structures, where part of the loan is paid off while another part remains as interest-only.
- **Sharia-compliant Mortgages:** For clients adhering to Sharia law, some finance schemes avoid interest by using buy-and-sell or leasing structures.

(D) PROPERTY TAXATION

- **SDLT and LTT**

SDLT			
Residential - First-time buyers get relief on homes costing up to £625,000 (If the property costs more than this, then no reliefs are applicable at all) 0 - £425,000 = 0% taxed £425,001 - £625,000 = 5% taxed - Can be reduced by apportioning the purchase to chattels - Higher rates apply for additional properties or non-UK residents		Non-residential or Mixed Use SDLT includes the VAT if applicable	
0-£250,000	0%	0-£150,000	0%
£250,001-£925,000	5%	£150,001-£250,000	2%
£925,001-£1,500,000	10%	£250,000 and above	5%
£1,500,001 and above	12%		
SDLT to be paid within 14 days of completion to HMRC with SDLT1 Otherwise, buyer will not be registered by LR and penalties and interest may apply			
LTT			
Residential		Non-residential or Mixed Use LTT includes VAT if applicable	
0-£225,000	0%	0-£225,000	0%

£225,001-£400,000	6%	£225,001-£250,000	1%
£400,001-£750,000	7.5%	£250,001-£1,000,000	5%
£750,001-£1,500,000	10%	£1,000,000 and above	6%
£1,500,000 and above	12%		
LTT to be paid within 30 days of completion to the WRA			

* NOTE: THE RATES APPLY TO THE RESPECTIVE PORTIONS OF THE PURCHASE PRICE

• CGT and Private Residence Relief

- **CGT** is charged on gains made on chargeable assets (defined in **Taxation of Chargeable Gains Act 1992**)
 - Includes
 - Freehold and leasehold property
 - Interests of co-owners
 - Payments for the release/modification of an easement/covenant
 - Gifts also fall within the meaning of disposal for the purpose of CGT
 - Calculating capital gains on property sale = Current sale price - Purchase price
 - If purchased earlier than 1982 → Purchase price is its base value in 1982
 - Expenditure in acquiring/improving the property can also be deducted in appropriate cases
- **Private Residence Relief Conditions:**
 - **(1) Property is the seller's only or main residence**
 - If the individual has more than one residence, they can choose which of their residences qualify for PRR by making an election to HMRC
 - PRR also available to trustees if the property is occupied by a beneficiary as their principal residence
 - **(2) Certain periods of absence are allowed under specific conditions**
 - Example: Owner is an employee and has to live abroad
 - **(3) Garden must be smaller than 0.5 hectares**
 - UNLESS the seller can demonstrate to HMRC that the extra garden was **necessary for the reasonable enjoyment** of the house
 - **(4) Residential use only**
 - The relief may be lost on any part of the house used **exclusively** for business use

• Value Added Tax

- **Basis of charge = VAT is charged on 'taxable supplies' made by a 'taxable person' with annual turnover exceeding £90,000**
 - VAT is collected by HMRC at the end of each VAT period (usually every 3 months) with suppliers completing a VAT return online.
 - **Output tax:** VAT charged by the supplier on goods/services sold, shown on invoices to customers.
 - **Input tax:** VAT paid by the supplier on its own purchases, recoverable if linked to taxable supplies.
 - **Suppliers remit net VAT to HMRC**
 - **Net VAT = Output tax - Input tax**
 - **Input tax is recoverable only if related to taxable (output) supplies.**

- Businesses making exempt supplies **cannot register** for VAT or **recover** input tax
- Rates
 - **Standard rate: 20%**
 - **Reduced rate: 5%**
 - **Zero-rated supplies:** Still taxable but charged at 0%
 - **Exempt supplies:** Non-VATable, but some items can become taxable if the seller opts to tax
 - Grant of a lease
 - Sale of old freehold building
 - Sale of greenfield site
- Property transactions:
 - **Residential: Typically exempt from VAT**
 - **Exception: Newly developed residential buildings are zero-rated**
 - **Commercial:**
 - **New properties** (completed within **3 years**) → **Standard VAT**
 - **Older properties** → **Exempt** unless the seller opts to tax
 - A seller may opt to tax to recover VAT, but this can increase the purchase price, impacting buyers unable to reclaim input tax
 - A buyer that makes exempt supplies will resist the seller's option to tax, or seek a compensatory reduction in the purchase price
 - **VAT-sensitive buyers** = Insurance companies, banks, etc.

(E) CORE PRINCIPLES OF PLANNING LAW

- **Statutory definition of Development**
 - **s.57(1) Town and Country Planning Act 1990** → **Planning permission is required for carrying out any development of the land**
 - **Development (s.55 TCPA 1990)** = Carrying out of **building, engineering, mining or other operations** in, on, over and under land, or the making of any **material change in the use** of any buildings other than land (**BEMO**)
 - **Controlled development**
 - **Operational development** = Building structures /Major engineering operations
 - **Material change of use** = Change from one use class to another, or to/from a sui generis use.
- **Matters that do not constitute Development**
 - **Not 'development'** = Interior alterations / maintenance / minor changes that do not affect the external appearance of buildings
 - **s.55(2) TCPA 1990** → Changes within the same **Use Class Order** are generally exempt from needing PP
 - **ENGLAND: Town and Country Planning (Use Classes) Order 1987**
 - B2: General industrial
 - B3: Storage and distribution
 - C1: Hotels
 - C3: Dwelling houses
 - C4: Houses in multiple occupation
 - **E: Commercial, business and service**
 - (a) 🛒 **Retail sale of goods** other than hot food
 - (b) 🍔 Sale of **food and drink** for consumption on premises
 - (c) 💰 Financial and professional services
 - (g) 🏢 Uses which can be carried out in a residential area without detriment to its amenity, including offices to carry out operational/administrative functions and R&D

- F1: Learning and non-residential institutions
- F2: Local community (including shops selling essential goods in premises not exceeding 280m² with no other such facility within 1,000m)

■ **WALES:**

- A1: Shops
- A2: Financial and professional services
- A3: Food and drink
- B1: Business
- B2: General industrial
- B8: Storage and distribution
- C1: Hotels
- C2: Residential institutions
- C3: Dwelling houses sole or main residence
- C4: Homes in multiple occupation
- C5: Dwelling houses not sole or main residence
- C6: Short term lets
- D1: Non-residential institutions
- D2: Assembly and leisure

■ **Sui generis = Changes to and from this use will always require PP**

• **The effect of Planning Permission**

- Once granted, PP **attaches to the property** and must typically be **implemented within a specified time: 3 years** (England) / **5 years** (Wales)
 - Once a PP is implemented, it **runs with the land forever** and any conditions attached to it will burden the relevant land
 - The grant of PP is effective for planning purposes only. Still need **other types of approval** that may be necessary, and one still needs to check for **enforceable covenant** affecting title to the land
- PPs may carry conditions, and **local planning authorities (LPAs)** can issue a **completion notice** if works are not completed within a reasonable time.

• **Matters that do not require express Planning Permission**

- **General Permitted Development Order 2015 (GPDO)** → **Automatically grants PP for certain minor developments or certain changes of use**
- **Article 4 Directions** = **These directions limit the GPDO automatic permissions. LPAs may impose this especially in conservation areas**
 - Solicitor must check the latest version of the GPDO and make sure there is no Art.4 Direction negating the relevant concession
- **Certificate of Lawfulness (s.192 TCPO 1990)** = When in doubt, an applicant may request a certificate of lawfulness from the LPA before commencing development to confirm development compliance
 - If the LPA thinks that the proposal constitutes development AND would not be granted permission under GPDO ⇒ Must refuse the application ⇒ Applicant must obtain PP

Enforcement: Time limits and the range of LPA's enforcement powers

Enforcement: Planning control notices	
(1) Enforcement notices	Issued when: There is a breach of any planning control and it is expedient to issue the notice in light of its planning policies for the area • Served on: Owner, occupier, interested parties. Effective 28 days after service • Contents: Specify the breach, corrective steps, timescale • Appealable by anyone with an interest in the land

	England: LPAs can issue a notice inviting recipients to regularise a breach via applying for retrospective PP (from 25 April 2024) Wales: LPA can serve an enforcement warning notice if there is a breach and PP is likely if applied for. Specifies the breach and warns of further action if no application is made within the specific time
(b) Stop notices	Purpose: Can be served alongside an enforcement notice to halt activities immediately, before the enforcement notice becomes effective. • Cannot be a standalone enforcement method. • An enforcement notice must be served first. • EXCEPTION: LPA can serve temporary stop notices which last 28 days, allowing further investigation
(c) Breach of condition notice	Purpose: Targets breach of conditions attached to PP NO RIGHT OF APPEAL
(d) Injunctions and breach of condition notices	Purpose: LPAs may seek an injunction to prevent an actual or potential planning breach, showing that it's necessary and suitable
Non-compliance: Offence punishable by fine Time limits for LPA enforcement: • England: 10 years / 4 years for operational developments (building works) or changing to single dwelling use before 25 April 2024 • Wales: 10 years / 4 years for operational developments (building works) or changing to single dwelling use Planning Enforcement Order: LPAs may request this from a magistrate if statutory time limits have expired and the breach was concealed past the time limit. If the LPA fails to take enforcement action within the relevant time period, then no further action can be taken in respect of the breach	
Enforcement: Building regulation controls	
Definition of BRC	Building regulations = Ensure safety and structural soundness • May be necessary for many works carried out to buildings, even if the changes themselves do not require PP • Apply to: Building control authorities (BCA) ◦ After the final inspection, the building control authority should issue a certificate of compliance ◦ Self-certification schemes regulated by trades and professions do not require a separate application to the BCA. The person doing the work self-certifies their work and their relevant body sends notification to BCA.
Buyer's S&E	■ BS should ask about works and permissions obtained ■ CON29: Reveal details of building regulations and consents and certificates granted ■ If consent has not been granted: • (i) Ask seller to obtain a regularisation certificate from the BCA → Lists the work required to bring the building up to standard • (ii) Obtain insurance (BUT this usually only covers the cost of compliance should the authorities bring enforcement proceedings, NOT personal injuries or business interruption caused by a defective building)

Time limits for PROSECUTIONS:

- **England:** **NO time limit**
 - Before 1 Oct 2023: Within 6 months of discovery and 2 years of completion
- **Wales:** **2 years** from offence

Time limits for ISSUING ENFORCEMENT NOTICES:

- **England:** **10 years** from work's completion
- **Wales:** **1 year** from work's completion

- **Listed buildings**

- **Listed buildings** = Require special listed building consent for changes due to architectural / historical value
 - **England:** Designated by the **Department for Culture, Media and Sport** with the assistance of **Historic England**
 - **Wales:** Welsh ministers are responsible for drawing up the list with the assistance of **Cadw**. There are three grades of listing (Grade 1-3) and the listing includes the building and any object/structure fixed to the building or within the curtilage of the building that forms part of the land and has done so before **1 July 1948**
- **In addition to PP, alterations/demolition of listed buildings require LPA consent**
 - The higher the listing, the harder it will be to obtain listed building consent from the LPA
 - Many permitted developments under GPDO don't apply to listed buildings
→ **Express PP likely required**

- **Conservation areas**

- **Conservation areas** = Protect areas with special character
 - Broad protection given to **all buildings and features within the area**
- Special permissions are needed for
 - Changes to external appearance of building
 - Demolition of building
 - Any work planned to a **tree within a conservation area must be notified to the LPA 6 weeks in advance**

- **Planning Checklist**

- BS should confirm
 - (1) Whether **planning permission** exists for the property and **complies** with its purpose
 - (2) **Conditions** on the use / alteration of property
 - (3) Potential **enforcement actions** for breaches
 - (4) **Building regulations** compliance
 - (5) Whether property is **listed** / in a **conservation** area, affecting future modifications

(F) TAKING INSTRUCTIONS

- **Initial Instructions Checklist**

- (1) Buyer and Seller: Full names, addresses, contact details
- (2) Estate Agent Information: Name, address, contact person
- (3) Other party's solicitors: Name and address of the solicitor
- (3) Property Address
- (5) Fixtures and fittings: Confirmation of items being included in the sale
- (6) Tenure: Whether property is freehold or leasehold
- (7) Agreed price
- (8) Deposit
- (9) Mortgage information
 - Seller: Existing mortgage details
 - Buyer: Sources of funding and mortgage requirements or arrangement

- (10) Completion date
- (11) Related sale synchronisation: If the transaction is part of a chain and needs to align with other sales
- (12) Intended use of property: Present and planned uses, and any recent alterations
- (13) Property survey: Whether a survey has been commissioned or completed
- (14) Location specifics: Proximity to railways, industrial areas, rivers or open land
- (15) Occupancy: Confirmation if anyone other than the seller is in occupation
- (16) Additional Agreed Terms: Any terms agreed between the parties beyond the price
- **Additional essential step**
 - **Energy Performance Certificate** = BS and SS need to ensure that an EPC, prepared by an **accredited energy assessor**, has been provided to the buyer, **free of charge**, within the required time frame (**preferably within 7 days of marketing and no later than 28 days**)

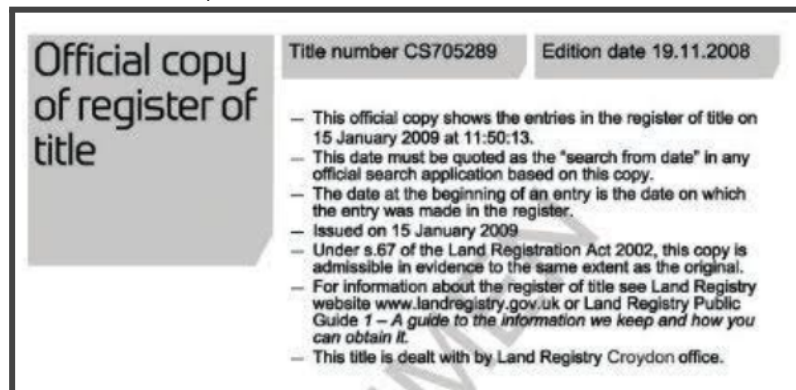
2. INVESTIGATION OF TITLE

(A) REGISTERED VS UNREGISTERED LAND

- **LRA 1925**
 - The **LRA 1925** introduced a system for central registration in E/W.
 - Since 1990, registration on ownership change is mandatory.
- **Purpose of Investigating Title:** To confirm ownership and identify any rights or restrictions affecting the property
 - BS will check:
 - (1) Seller's ownership and ability to sell
 - (2) Presence of burdens that could impact value or use
 - ⇒ Lenders share similar concerns, wanting assurance that the property retains value as loan security
 - SS reviews client's title to prepare the CFE and anticipate issues
 - Any incumbrances need to be identified and specified in the contract

(B) INVESTIGATING TITLE TO FREEHOLD REGISTERED LAND

- **How to Investigate Registered Title**
 - SS needs to obtain **official copies + title plan**
 - **Official copies** = Copies of the **register of title** for the property.
 - **Title plan** = Copy of the **LR plan** for the property
- **Seller deducing title to Buyer in Registered land**
 - Seller must prove ownership by providing documentary evidence to the buyer
 - RL: Seller should supply official copies (that are **less than 6 months old**, at their own expense) to the buyer before CFE
 - BS also needs to investigate whether there are any overriding interests affecting the property through S/E
- **Official copies in Registered land**
 - **Contains:** Title number, edition date (last update), and "search from" date (specific to current entries)



◦ **Divided into 3 Registers:**

■ **(1) Property Register**

- **Description** of the land by postal address + **title plan**
- Indicates if the title is **freehold / leasehold**
- May include:
 - **Easements / rights benefiting the land**
 - Exclusions of certain rights that typically come with land, such as land and air

■ **(2) Proprietorship Register**

- Identifies **current owners** and their address

- Indicates **price paid for land** (for sales post 1 April 2000) and **indemnity covenants** provided by owners
- Shows the **class of title**, guaranteed by the State, with compensation for defects. Affects ability to obtain loans and sell in the future.
 - **(i) Absolute title** = Most common and strongest title. Ownership is subject only to registered entries, overriding interests and certain minor interests of which they have notice
 - **(ii) Possessory title** = Given when title deeds are missing or ownership claimed through adverse possession, subject to adverse interests existing at registration
 - **(iii) Qualified title** = Granted with specific identified defects that the Registrar feels cannot be overlooked or cured by the grant of an absolute title.
- **Lists restrictions on owner's ability to sell**
 - Third-party protections: **Notices** and **Restrictions**
 - Restrictions are more powerful than notices
 - Restrictions may be temporary/permanent, absolute/conditional

■ (3) Charges Register

- Identifies **incumbrances** affecting the property
 - (i) Covenants (restrictive or positive)
 - (ii) Easements (BURDENING the property)
 - (iii) Charges (mortgages, etc.)
 - (iv) Leases (on whole or part)
 - (v) Notices from third parties claiming an interests
- BS reviews these to determine potential issues for the client and recommend actions

(C) INVESTIGATING TITLE TO FREEHOLD UNREGISTERED LAND

• Introduction

- Step 1: Check if the land is registered or pending registration
- Step 2: If unregistered, check for **cautions against first registration** by third parties
 - **Cautions:** When the application for first registration is lodged, LR will 'warn off' the cautioner, giving them a limited period to establish their rights over the land and if they cannot do so, the registration will proceed and the cautioner will lose their rights.
 - Use an **Index Map search (Form SIM)** accompanied by a plan of the property to verify registration status and any third-party cautions
- Step 3: If unregistered, the title is proven by the **title deeds**.
 - Seller provides the buyer with copies usually pre-exchange
 - At completion:
 - **Sale of the whole:** Seller gives **original copy** to buyer
 - **Sale of a part:** Seller gives **certified copy** to buyer, and a memorandum of the sale of part is marked on the original deed
 - **Verification of title:** At completion, BS examines the original title deeds against copies received pre-contract to check that they are the same.

• Seller deducing title to Buyer in Unregistered land

- **First registration check:** SS must consider whether title should have been registered if required by previous transactions; otherwise, registration may be mandated before sale.
- **Identify the Root of Title**
 - Start with the root document that establishes ownership

- Typically, the most recent document that fulfils legal standards serves as the root
- Once the root is identified, older documents can be ignored unless the root refers to a third party right created in an earlier conveyance. BS is **entitled to call for the earlier conveyance** as the right might be binding on them
- **Epitome of title** = SS will prepare a schedule of title documents from the root onward, numbered and listed in chronological order, with copies attached

■ **Requirements of a good Root of Title (s.44 LPA 1925):**

- (i) Shows ownership of **full interest** (legal and equitable) that is being sold by the current owner
- (ii) Clearly **describe** the land
- (iii) **Free of doubts** on the seller's title
- (iv) Be at least **15 years old**

■ **Types of documents**

- **Conveyance / Mortgage** is preferred due to the "double guarantee": confirms the title over a minimum 30-year period.
 - Conveyance is preferred to mortgage as it generally contains detailed property descriptions and incumbrances, ensuring clarity on legal and equitable interest.
 - Determining whether a conveyance deals with both the legal and equitable interest in land → Look for a clause beginning with "**WHEREAS**" indicating the Vendor's ownership in "fee simple" and conveying the land to the Purchaser as "beneficial owner"
- If a conveyance or mortgage is unavailable → A **deed of gift** or **assent** may be used.
 - These are less ideal as they often lack prior title investigation, not providing the double guarantee

● **Checking each Title Deed listed in the Epitome of Title**

- Focus on the following matters:

■ **(1) Chain of ownership**

- Verify an unbroken ownership chain from the root of title to the current seller.
- If an owner passed away, check the **grant of probate** identifying PRs and they transferred the title in the next document in the chain

■ **(2) Description of land**

- Ensure the land description is consistent across all title deeds.

■ **(3) Stamp duty**

- Stamp duty was required on conveyances **before Dec 2003**. Evidence is shown by **embossed stamps**.
 - Stamp duty on property transactions was replaced by SDLT on 3 December 2003.
 - Some low-value transactions were exempt / liable to a reduced rate, but only if the conveyance included a '**certificate of value**' stating that the transaction did not form a part of a larger transaction or series of transactions in which the value exceeded the relevant threshold
- Exceptions
 - Ad valorem stamp duty was not payable on mortgages executed after 1971
 - Not required on deeds of gifts and assents **after 30 April 1987**, provided an **exemption certificate** was included.
- Particulars Delivered (PD) Stamp

- Required **from 1931** for certain documents, including conveyances on sale
- Without the PD stamp, the conveyance was not properly executed, and the buyer could face fines
- Consult a practitioner's text to verify correct duty paid as rates were complex
- **(4) Incumbrances**
 - Review for easements, covenants, obligations
 - 'EXCEPTING AND RESERVING' → Indicate that on an earlier sale, the seller was reserving an easement of some kind over the land being sold
 - 'SUBJECT TO' → Used to introduce an incumbrance
- **(5) Execution** → Verify that documents were correctly executed as deeds
 - **Deed requirements:** In writing, clearly state it is a deed, signed, witnessed, delivered
 - Before **31 July 1990**, a seal was required on deeds before the maker signed it
- **Land Charges Searches**
 - **Essential for URL**
 - Land charges must be registered against the **landowner's name**.
 - Some incumbrances, notably RCs, **will only bind URL land if they are correctly registered** as a land charge at the central **Land Charges Department (LCD) in Plymouth**.
 - **Common land charge classes:**
 - **C(i): Puisne mortgage** (legal mortgage over URL which is not protected by the deposit of title deeds)
 - **C(iv): Estate contract**
 - **D(ii) Restrictive covenant**
 - **D(iii): Equitable easement**
 - **F: Home right**
- **Searches predating Root**
 - Solicitor must check that valid searches have been made **against all past estate owners** listed in title documents, even if their ownership predates the Root
 - **Form K15:** Cover the years each person owned the land, not specific dates.
 - If the exact years of ownership are unclear, include any possible years, ideally **going back to 1926**
 - Previous valid searches from past sales can also be relied upon
 - No need to search against lenders as they are not estate owners (unless the property is in possession)

(D) ISSUES THAT MIGHT BE REVEALED IN AN INVESTIGATION OF TITLE

- Check if any rights benefit or incumber the property.
- Ensure rights are sufficient for intended use
- A solicitor who fails to advise the buyer on the nature and extent of these rights so that the buyer can take this information into account when deciding whether or not to proceed with the purchase is likely to be **negligent**.

Easements	● RL: Check PROPERTY (benefitting) and CHARGES (incumbering) registers ○ Property register will also show any financial obligations to contribute attached to easements that benefit the property ○ Advise buyer on any upkeep obligations (Halsall v Brizell)
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	• URL: Easements often appear in the conveyance NOTE: • Investigate history of contribution and disputes • Instruct surveyor to inspect the land's condition to advise on potential future expenditures
Mines and minerals exceptions and reservations	• Check for exclusions of mines and minerals in Property register / conveyance ◦ Mining exception = Seller does not own any mines and minerals underneath the surface and cannot transfer them to the buyer. Any encroachment by the buyer will constitute a trespass ◦ Reservation = Creates an incorporeal right in the mines and minerals by way of profit a prendre • Investigate ground stability if mining has occurred nearby • Conduct relevant searches (Coal Authority) and Index Map search (SIM) for both RL and URL to check whether mines and minerals are registered under a separate title.
Declaration as to rights of light and air	• Look for declarations that limit rights of light/air for potential development nearby. • Advise buyer if potential future development could impact their property's access to light or air
Co-ownership	• Clarify ownership type for co-owned properties (JT/TIC) ◦ Check for restrictions in Proprietorship register / conveyance ■ Indication of TIC in Proprietorship register: • RESTRICTION: <i>No disposition by a sole proprietor of the registered estate (except a trust corporation) under which capital money arises is to be registered unless authorised by an order of the court.</i> • IF NO RESTRICTION: The buyer can assume JT in law an equity ■ Indication of JT in conveyance: Statement that the surviving joint owner is solely and beneficially entitled to the land, AND • NO Written record of severance endorsed on the conveyance of the property to the JTs • NO Bankruptcy proceedings registered against either of the JTs in the LCR • → Buyer needs to present <u>death certificate</u> when registering at LR • Missing or dead co-owners ◦ If a co-owner is missing, locate and involve them ◦ If the co-owner has died, SS will need to provide a certified copy of the death certificate • Overreaching ◦ RULE: If only one legal owner remains and the property was co-owned as TICs, a <u>second trustee</u> must be appointed to transfer the deceased co-owner's equitable interest ■ Appointment can be made in the property transfer OR by separate deed

	■ If the deceased TIC's share passed to the surviving co-owner through a will/intestacy, this can be confirmed with certified copies of the probate and assent documents ○ Overreaching = Buyer pays the purchase price to at least 2 trustees. Deceased co-owner's equitable interest is overreached and buyer can acquire the property free of it ■ No second trustee is needed if 2 or more legal owners remain, as payment to at least two trustees ensures overreaching occurs. ■ No second trustee is required if a trust corporation is appointed
Restrictive covenants	● Definition: Limits property use in specific ways. Typically binding on future owners ○ RL: Covenants are noted in the Charges register ○ URL: Covenants appear in the conveyance document ■ Post-1925 Restrictive Covenant (URL): Only binding if registered as a D(ii) Land Charge against the original covenantor's name, verified by a LCD search. ● Options if problematic: ○ (1) Seek arrangement with the covenant beneficiary ■ Negotiate a release or one-off consent ■ May not be viable if the covenant is old and the beneficiary cannot be identified due to land being divided. ○ (2) Obtain restrictive covenant insurance ■ Useful if the covenant beneficiary is unlikely to object ■ Not suitable if the beneficiary is aware of the covenant and likely to object ■ Insurance will be unavailable if a contract has been made with the beneficiary of the RC ○ (3) Apply to the Upper Tribunal (Lands Chamber) for covenant modification/discharge. ■ S.84 LPA 1925: Seek to modify/discharge covenant ■ Grounds: Obsolescence, lack of practical benefit or public interest, with possible compensation ■ Disadvantages: Time-consuming and costly, with no guaranteed outcome
Positive covenants	● Definition: Typically obliges the owner to perform actions or bear costs ○ RL: Charges register ○ URL: Conveyance document ● Binding nature: ○ PCs do not automatically bind successors in title ○ Original covenantor often requires the buyer to provide an indemnity covenant, creating a "chain of indemnity" that links each subsequent owner to the original covenantor. ● Checking for indemnity covenants: ○ RL: Proprietorship register

	■ <i>'The transfer to the proprietor contains a covenant to observe and perform the covenants referred to in the Charges Register and of indemnity in respect thereof'</i> ○ URL: Conveyance ■ <i>THE Purchaser hereby COVENANTS with the Vendors to observe and perform the covenants contained in the Conveyance and shall indemnify the Vendors from and against all actions costs proceedings and claims in respect of any future breach thereof.</i>
Unknown covenants	● Definition: Sometimes covenants exist on a property, but the details and wording are unknown, often due to a lost earlier deed. ○ RL: Charges register will note if covenant details were unavailable at first registration (e.g., deed references but no copies). ○ URL: Unknown covenants may be referenced in a later conveyance, even if the original deed containing the covenant is missing. ● Best Practice: ○ Assume that unknown covenants are restrictive and binding on the buyer. ○ Consider available options for handling restrictive covenants, such as indemnity insurance, which is often a cost-effective solution. ● Seller's Responsibility: ○ Disclose any such defects in the title within the contract to prevent the buyer from using it as grounds to back out of the purchase
Mortgage	● Mortgages: ○ Generally not problematic, as sellers typically discharge mortgages using sale proceeds after completion. ○ Buyers usually require assurance that the seller's mortgage will be discharged at completion. ● Identifying a Mortgage: ○ URL: Charges Register ■ The charge's date and purpose. ■ The lender's identity ■ Lenders may add a restriction in the Proprietorship register, requiring their consent before any property transfer. ○ URL: Mortgage appears as a title deed in the epitome of title. ■ If discharged, the deed will have a "vacating receipt" confirming payment. ● Action on Outstanding Mortgages: ○ If a mortgage still exists, BS should ensure: ■ CFE states that the seller is selling the property free of the mortgage. ■ SS commits to discharging the mortgage upon completion.
Leases	● RL: Leases over 7 years must have a separate title and be registered as third-party interests against the landlord's title.

	○ Will bind buyer if the notice appears on the Charges register at the time of the transfer ○ Leases over 7 years NOT registered may still bind the buyer if the tenant is in occupation (overriding interest). ○ Legal leases for a term not exceeding 7 years and equitable leases where tenant is in actual occupation may be enforceable as overriding interests ● URL: ○ Legal lease should appear in the epitome of title, created by deed. ○ Parol leases (under 3 years) will bind the buyer whether they know about it or not ● Action for BS: ○ Report any lease to the buyer ○ Verify if the lease terms align with the buyer's intended property use
Notices (RL ONLY)	● Definition: Reflects the burden of an interest or charge in the Charges Register ● Types: ○ Agreed notice: Entered with the registered proprietor's consent ○ Unilateral notice: Entered without the proprietor's consent or when not consulted ■ BS should inquire about its nature through SS ■ Decide whether to proceed only if seller can arrange its cancellation by applying to LR before CFE, especially if the notice is due to an expired option / unrelated claim ■ Treat the notice as a red flag if it involves an active interest like a contract or lease ● Effects: Protects the priority of the interest listed but does not validate or enforce the interest itself
Home rights	● Definition: A non-owning S/CP's right to occupy the marital home (Family Law Act 1996) ○ RL: Home rights bind a buyer if entered in the Charges register before transfer. ○ Unregistered: Must be a Class F land charge to bind a buyer. ● Action for BS: Ensure the non-owning spouse provides a release and agrees to vacate before completion, typically secured in the contract.

3. PRE-CONTRACT SEARCHES & ENQUIRIES

Caveat emptor = Seller has no duty to disclose anything, but cannot provide misleading replies

(A) WHO MAKES THE SEARCHES AND RAISES ENQUIRIES

- BS is responsible for conducting DD and determine relevant S&Es
- BS ensures buyer has all necessary information before entering a binding CFE
- Information from S&E is also crucial to lenders providing mortgage loans
 - Risk of negligence claims: If solicitor fails to conduct the right S&Es

(B) RANGE AND TYPES OF S/Es AVAILABLE

S&Es relevant to EVERY property		
Search & Enquiry	Form	Description
1. Survey and Personal Inspection		Professional survey: Strongly recommended, especially if financing through a mortgage as lenders require a survey • Valuation survey: Always required by lenders to assess property value • Structural survey: Detailed survey for buyer concerned about property's state or intending to make alterations • Homebuyers survey: Less detailed. Includes advice on repairs and maintenance
		Personal inspection: BS should check for discrepancies not evident from the property plan. Rare in residential transactions due to costs.
2. Local Search → Local authority LIMITATIONS: Covers the property, but NOT adjoining land. Additional enquiries required	LLC1	Financial charges / Restrictions on property imposed by public authorities under statute • Planning consents • TPOs • Conservation area designation orders • Smoke control orders
	CON29	Standard enquiries • Planning permission • Restrictions on permitted development (Art 4 Direction, etc.) • Designation as contaminated land • Liability for road repairs • Conservation area designation orders • Enforcement and stop notices
	CON290	Optional enquiries (depending on locality) • Environmental pollution issues • Rights over common land • Completion notices

3. Water and drainage search	CON29DW Commercial DW	Reveals whether property is connected to public sewers and water supplies (and the responsibility of statutory undertaker) If not connected to public drains → Buyer may be liable for maintenance costs and potential future improvements (bringing them up to adoption standard) if the water authority decides to adopt them
4. Pre-contract enquiries of the seller		Standard questions raised by solicitor - Disputes - Third-party occupation - Covenants in title - Planning permissions - Boundary issues - VAT status (commercial properties)
5. Environmental Searches		Desktop Environmental Search: Carried out by a specialist environmental search company. Reviews local plans, EA reports, and local authority data. Physical Environmental Survey: Recommended if contamination risks are identified, involving soil samples and mitigation advice. Environmental Liability Insurance: An option if risks of contamination are identified. EPA 1990 → Cost of cleaning up contamination may rest with owner/occupier and not just original polluter Supplements CON29/CON290 → Negative reply to contamination land designation under CON29/O may just mean that the local authority has not inspected the land yet
6. Flood search		- Recommended if property is near a river/coast Free online tools: EA's free screening tools, LR's flood risk indicator - BUT not property specific - Does not show groundwater flooding Commercial Flood Risk Search: Available from providers for specific flood risk details and property-specific analysis Flood Re → Government-backed reinsurance scheme for flooding in residential properties Key question: Can property be insured at normal rates?
S&Es for particular properties and transactions		
Search & Enquiry	Form	Description
1. Chancel Repairs Search		Certain properties may have a liability for repairs to a church chancel under the Chancel Repairs Act 1932. Post-13 October 2013: RL does not have overriding chancel repair liability UNLESS the previous transfer occurred before this date - URL: Buyer will only be bound if chancel repair liability is referred to in the title deeds / protected by a caution

		against first registration, but such a caution could be lodged after completion but prior to first registration • Insurance may be the most cost-effective solution
2. Mining searches	CON29M	• Essential for properties in coal mining areas (Coal mining areas are identified in the Coal Authority's interactive map viewer) ○ Yorkshire ○ Lancashire ○ Cumbria ○ Cheshire ○ Nottinghamshire ○ Derbyshire ○ Warwickshire ○ Leicestershire • CON29M confirms if the property is in an area where mining ○ Has taken place ○ Is likely to take place in the future ○ Whether there are shafts on the property ○ Existence of underground workings that may cause subsidence issues ○ Whether any claims of subsidence damage have been paid in the past/pending • Mines and minerals reservation revealed in title investigation → May require mining searches
3. Canal & River Trust search		• Relevant for properties adjacent to canals or rivers, ensuring the buyer is aware of ○ Maintenance liabilities of waterways, banks, towpaths ○ Potential flooding
4. Commons Search	CON290 Enquiry 22	• To check that the property is not protected as common land or a town and village green that may be affected by common rights, such as the right to pasture, that have been protected under the Commons Registration Act 1965. • Such rights might affect enjoyment of land / intended development or use of property
5. Railways	CON29 Enquiry 22	• Searches for properties near railway lines to assess boundary maintenance obligations and potential restrictions on construction near the railway. ○ BS must ask seller ○ BS should advise buyer that there may be issues with future works near the railway, and that an approach should be made to Network Rail about any specific proposal • CON29: Reveals if property might be affected by a proposed rail scheme • Possible to do searches on specific existing and proposed railway undertakings (such as Crossrail, HS2 and the Newcastle Metro)

6. Highways	CON29 Enquiry 2	- Where there appears to be land in private ownership separating the property from the highway, easements may be required - To establish whether verges and pavements are publicly maintainable - BS can send a plan to the relevant Highways Authority, asking for the boundaries of the publicly maintainable highways (including verges) to be marked onto it.
7. URL searches	SIM @ LR	Index Map Search - To see if the land is already registered, or registration is pending, or if there is a caution against first registration - Where the property appears to be URL / where there is a mines and minerals reservation in the title
	K15 @ LCD in Plymouth	To see if certain types of incumbrance have been protected by registration at LCD against the relevant estate owner so as to be binding on the buyer
8. Company search	Companies House Search	Seller company: Confirming the company's legal capacity to enter into the sale, its officers, and any fixed/floating charges. Repeat search just before completion to check for insolvency issues URL: Search against corporate estate owners revealed in epitome of title
9. Bankruptcy search	K16 @ LCD in Plymouth (individual borrower)	LS: Should make a search against the borrower to ensure that there are no bankruptcy or insolvency proceedings affecting them. Repeat search just before completion to check for insolvency issues
	Company Search (company borrower)	

Online Search Providers:

- National Land Information Service (NLIS)**
 - A government service facilitating quick access to property data, improving efficiency in the conveyancing process
 - Firms must register with licensed channels to submit searches via NLIS.
 - The service consolidates data from the Land Registry, local authorities, and other bodies into a single, streamlined report.
- Non-NLIS Providers:**
 - Other providers gather data from various sources
 - Council of Property Search Organisations (CoPSO):** publishes a list of its current members, all of whom agree to abide by COC for the provision of property searches. These search providers compete on price and speed of delivery in order to secure their business.

(C) DECIDING WHICH S&Es ARE RELEVANT FOR A PARTICULAR PROPERTY

- BS must carefully decide which searches to commission based on the property's specifics, balancing cost and benefit.

Example 1	Example 2
Property Description: Large, <u>old Victorian</u> property in <u>Cheshire</u> in <u>poor repair</u>, located next to a <u>small river</u>, with a nearby disused <u>warehouse</u> being <u>converted into luxury flats</u>.	Property Description: A former <u>residential</u> property <u>converted into a dental surgery</u>, with an <u>extension</u> added for a waiting room.
1. Surveys: Given the property's poor condition, a structural survey is advisable to assess the extent of repairs needed. 2. Canal & River Trust Search: To check for responsibility regarding the riverbank maintenance. 3. Flood Search: Since the property is near a river, a flood search is necessary to assess flood risk. 4. Environmental Search: The property is near former industrial land. A desktop environmental search will identify contamination risks, which could be followed by a physical survey if necessary. 5. Chancel Repair Search: Although no immediate indication of a church, a chancel repair search should be considered in the absence of details on the last transfer for value. 6. Coal Mining Search (CON29M): As the property is in a coal mining area, the CON29M search will identify risks such as subsidence or past mining activities. A limestone search may also be relevant. 7. HS2 Enquiry: Given the property's location in Cheshire, an enquiry about the HS2 railway route should be made, as it may affect the property.	1. LLC1 Search: To confirm planning permissions for the change of use and any building operations. 2. CON29 Search: To gather further details on any planning permissions granted, building regulations consents, and enforcement or stop notices related to the conversion and extension. 3. CON29O Search: To check if the local authority has issued a completion notice for any building work. 4. Pre-Contract Enquiries: Standard enquiries should request confirmation from the seller regarding planning permissions, building consents, and authorisation of the building's use. 5. Survey: To assess the state of the building, including the extension, and ensure the work is structurally sound and complies with necessary regulations.

(D) MATTERS COMMONLY REVEALED IN SEARCH RESULTS AND REPLIES TO ENQUIRIES

● Planning permissions

- BS should check for
 - PP related to property
 - Ensure conditions have been met
 - Permission has been implemented
 - CON29 for enforcement or stop notices
 - CON29O for completion notices
- Ask seller → Verify compliance with PP and reviewing LPA's notices

● Road adoption

- **CON29:** Check whether road is public highway and whether it is maintained at public expense, or if it will be adopted
- Ask seller → Cost of bringing road to adoption standard

- **Tree preservation orders**

- **Criminal offence** to alter or remove tree under TPO without local authority permission
- **LLC1**: Check for TPOs
- Ask seller → TPO location and compliance

- **Smoke control orders**

- These orders restrict the use of non-smokeless fuels in certain areas. If a property is subject to such an order and the buyer plans to use an **open fireplace**, this could be problematic.
- **LLC1**: Verify whether property is subject to order

- **Conservation areas**

- **LLC1/CON29**: Special restrictions apply in conservation areas, making alterations more difficult
- Ask seller → About restrictions and property changes planned

- **Occupiers**

- Ask seller → Occupiers, especially if under **FLA 1996**
- BS should ensure that seller obtains **releases** + vacation from any occupiers prior to completion (usually dealt within contract)

4. PREPARATION FOR AND EXCHANGE OF CONTRACTS

(A) PURPOSE OF A CONTRACT

- **Role of the Contract for Exchange (CFE):** While a CFE itself cannot transfer land (which requires a deed), it is essential for establishing the agreement to transfer the property at a later stage. NOT needed for every property transaction.
- **Situations where contract is needed**
 - Delay before completion
 - Additional work or conditions to be fulfilled by seller
 - Where formal, enforcement agreement ensuring parties are committed is needed
- **Benefits**
 - Certainty → Ensures clarity on title, terms, financial details, timeline
 - Prevents withdrawal → Both parties are bound and cannot withdraw without breaching contract

(B) SC AND SCPC

- **Contract choices**
 - SS must choose whether to use:
 - **(a) Pre-printed forms** → Typically supplied by law stationers, these forms are standardized and widely used for residential and some simple commercial transactions
 - **(b) Firm-specific contracts** → Some solicitors may draft their own versions, which may contain similar elements to the pre-printed versions
- **Standard conditions**
 - **Standard conditions** = Used to fill in any gaps left by statute or common law
 - **Types**
 - **(1) Standard Conditions of Sale (5th Edition – 2018 Revision):**
 - Used for residential transactions and some simple commercial deals (e.g., properties with straightforward titles and relatively low value).
 - **(2) Standard Commercial Property Conditions (3rd Edition – 2018 Revision):**
 - Suitable for high-value commercial properties and transactions involving complex occupational leases.
- **Structure of the Contract**
 - Both SC and SCPC:

PART	CONTENT
1. Front page	Contains headings related to the description of the property and the terms of sale (particulars of sale) Unique to the transaction.
2. Standard Conditions	Main body of the CFE consists of either SC/SCPC. These conditions apply to the transactions unless the parties agree otherwise • SCPC: ◦ Part 1: Longer and more detailed, applies unless excluded ◦ Part 2: Shorter and only applies if specifically included in the contract.

3. Special Conditions	Back page of the CFE • Special conditions = Specific conditions tailored to the particular transaction • Parties may insert any special requirements, and some pre-printed suggestions are provided.
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- **Firm-specific contracts**

- Firm variations → While firms may create slightly different versions of the contract, they will still contain
 - Property details
 - Financial terms
 - Relevant Special Conditions
- These contracts will often incorporate SC/SCPC to guide the transaction

(C) KEY CONDITIONS IN SC AND SCPC

- **Front page:**

- Details of the transaction: Property description, terms, parties
 - RL: Title number and class of title
 - URL: The root of title is referenced
- SS cross-checks the information with the title documents to ensure accuracy

Key Conditions	Description
1. Specified incumbrances	Incumbrance = 3P rights or obligations that affect the property and survive the transfer to the buyer (RCs, easements, and liabilities to contribute to shared facilities) • SC 3.1.1 / SCPC 4.1.1: Failure to disclose incumbrances is a breach of this clause, which says that the seller sells free of all incumbrances other than Specified Incumbrances and SC3.1.2/SCPC4.1.2 Types of Incumbrances (SC 3.1.2 and SCPC 4.1.2) (a) Incumbrances specified in the contract (b) Those discoverable by inspection before the contract date. (c) Those the seller could not reasonably know about (d) Public requirements Additionally: • SC3.1.2: ○ Incumbrances that the buyer knows about (other than mortgages) ○ Entries made before the date of the contract in any public register (except those maintained by LR, LCD and CH) • SC4.1.2: ○ Matters disclosed/would have been disclosed by S&E with a prudent buyer would have made before entering into the contract (other than mortgages) Specified Incumbrances: SS must list all burdens on the property in the contract as Specified Incumbrances everything not covered by SC3.1.2/SCPC4.1.2, even if they think they are covered by SC3.1.2/SCPC4.1.2 • Non-disclosure: Might result in the buyer having a right to rescind and/or claim damages • Title Documents: These incumbrances will appear in the title documents but must also be explicitly listed in the CFE

	○ RL: Check Charges + Property register ○ Many SS still include PCs even if they may not run with the land BS must ensure that the seller's mortgage is NOT included in the list of incumbrances, because it should be discharged after completion
2. Title guarantee	Full Title Guarantee = Confirms that the seller owns the entire legal and equitable title to the property, and is impliedly covenanting that: • (i) They have the right to sell the property • (ii) They will do all they reasonably can to transfer the title • (iii) (If this is leasehold land, that the lease is valid and there are no covenant breaches making the lease liable for forfeiture) • (iv) Land is disposed free from incumbrances other than those that the seller does not know about + could not reasonably know about ○ S.6 LP(MP)A 1994 → Limits this covenant to exclude matters made express, matters which the buyer knows at the time of disposition, and matters that were entered on the registers of title at the time of disposition Limited Title Guarantee = Seller has limited knowledge about the property, such as if the seller is an executor or trustee • Seller has not encumbered the property since they acquired the property • Seller is not aware of anyone else that has done so since the last disposition for value No Title Guarantee = Occasionally, a seller may sell without any title guarantee, particularly after insolvency. SC4.6.2 / SCPC 7.6.2 → Both SC and SCPC default to full title guarantee. ⇒ Special condition is needed for limited/no title guarantee
3. Contract rate (interest rate)	• Contract Rate = Interest rate to be charged if either party is late in completing the transaction ○ Interest is charged on the purchase price (minus the deposit if the buyer is in default + buyer has already handed this over on exchange) • Typical Rate: The Law Society's interest rate (4% above Barclays' base lending rate) SC / SCPC 1.1.1(e) → Defaults to Law Society's interest rate. ⇒ Special condition is needed for a rate above the base rate of a different bank OR a different rate
4. Deposit	Purpose: Deposit (typically 10% of the purchase price) is paid on exchange of contracts • Stakeholder vs. Agent: ○ Stakeholder = SS holds the deposit until completion (can't hand it over to seller yet) ○ Agent = Deposit is handed over to the seller immediately upon exchange of contracts and can be used for <u>any purpose</u>

	• Deposit Variations: ○ Seller may agree to accept a reduced deposit → Should be clearly stated on the front of the contract ○ Buyer can agree to SS holding the deposit as an agent
	SC 7.4 / SCPC 10.5 → Seller may forfeit and keep the deposit if the buyer fails to complete the transaction SC 2.2 / SCPC 3.2 → Deposit of 10% of the purchase price is payable on exchange of contracts to SS as 'stakeholder' • SC 2.2.5 → Allows the seller to use the deposit as a deposit on a related purchase of a house for the seller (if there is remainder, that is to be held as stakeholder) • SCPC → Requires deposit to be held as stakeholder and not used for the new purchase, unless a special condition overrides this <u>PAYMENT</u> • SC → Electronic payment / Cheque • SCPC → Electronic payment only <u>PAYMENT DESTINATION</u> • SC/SCPC → Electronic payment must be from conveyancer's account at a clearing bank • SC/SCPC → Electronic payment must be paid into the account in the name of the seller's conveyancer at a clearing bank ○ OR SC 2.2.5 → Account of a conveyancer nominated by the seller's conveyancer (if the deposit is to be used as a deposit on a related purchase)

(D) SPECIAL CONDITIONS

- **Purpose**
 - **Special conditions** = **Tailored to the specific characteristics of the property and unique circumstances of the transaction**
 - **Location:** Back section of the pre-printed contract
 - **Pre-printed special conditions include:**
 - 3: Addresses the sale of contents and inclusion of fixtures
 - → Remove this condition if the seller does not want to sell fixtures too + timetable for removing fixtures + paying for any damage during removal
 - 4: Specifies whether the property is sold with vacant possession or subject to leases/tenancies.
 - 5: Applies if the completion time has been altered; should be deleted if completion is at 2pm.
 - 6: Clarifies that representations not made in writing (e.g., during viewing) are not legally binding
 - 7: Relevant for non-owning adult occupiers agreeing to vacate on completion and releasing their rights
- **Incorporating new special conditions**
 - Examples:
 - Appointing a second trustee for property transfer
 - Arranging a restrictive covenant insurance policy
 - Disclosing defects in title
 - Selling with limited/no title guarantee
 - Handling deposits less than 10% or held as agent
 - VAT-related terms

- Removal of fixtures by the seller
- Indemnity covenants for the seller
- **Indemnity covenants**
 - **Application:** Necessary where the title is burned with PCs, and the seller is either the original covenantor or has given an indemnity covenant to their seller when they acquired the property
 - **SC 4.6.4 / SCPC 7.6.5 → Where the seller has such an ongoing liability in relation to the property, the buyer must give the seller a personal indemnity covenant in the transfer, and, should the buyer breach them, to indemnify the seller should they be sued as a result under their original covenant.**
 - BUT some solicitors still include a special condition to ensure this term is remembered in the transfer.
- Where the parties have agreed to something more unusual, their solicitors must consider what the contract already says about such matters in either the standard or pre-printed special conditions and whether that is good enough, or a new special condition should be drafted.

(E) INSURANCE AND RISK

- **SC5.1.1 / SCPC 8.1 → Risk of damage to property passes to the buyer upon exchange of contracts**
 - Buyer must still complete purchase even if the property is damaged or destroyed between exchange and completion
 - Buyer must be informed in advance so insurance can be arranged **before exchange**
- Insurance requirements
 - The buyer and any lender must ensure the insurance covers the **property's value, reinstatement costs, and applicable risks**
 - If financing through a mortgage, the lender may insure the property on the buyer's request. Otherwise, the buyer must take out their own insurance.
 - Buyers with multiple properties may have a '**block policy**' which can cover the new property.
- Seller's obligations
 - **SC5 / SCPC8 → Seller has no obligation for insurance**
 - BUT If agreed, the seller may maintain insurance on a new build or under-construction property until completion.
 - **SC 5.1.3 / SCPC 8.1.2 → Require the seller to maintain the policy until completion. If damage occurs before completion, the seller must transfer insurance proceeds or assign the policy rights to the buyer.**
- Multiple policies
 - If both B/S have insurance policies on the same property, the buyer's insurer may reduce the payout due to the existence of another policy
 - **SC 5.1.5 / SCPC 8.2.4(b) → If this happens and the buyer cannot recover the full amount, the purchase price will be reduced accordingly.**

(F) BASICS OF VAT IN A CONTRACT

Type of transaction	Description
Residential transaction	VAT is generally not chargeable SC1.4 → Purchase price and contents price are inclusive of any VAT
Commercial	VAT payable

transaction	• New property → Less than 3 years old • Old property → Seller has exercised the option to tax
	Possible VAT arrangements: 1. Exclusive of VAT + VAT added on top (SCPC 2) 2. Inclusive of VAT (no additional VAT) (SC1.4 or special condition in SCPC) 3. Exclusive of VAT, but VAT can be added if the tax law changes (SCPC Part 2, Condition A1)
	(1) Exclusive of VAT + VAT added on top • Applicable to: ○ (i) New commercial buildings within 3 years of construction ○ (ii) Old commercial buildings where the seller opts to tax to recover VAT on refurbishment/professional costs, and the buyer is not VAT-sensitive • SCPC 2 → Seller must warrant that the sale is subject to VAT and the buyer must pay VAT in addition to the agreed purchase price
	(2) Purchase price inclusive of VAT • Applicable to: ○ Old commercial buildings where the seller does not have VAT to recover so does not opt to tax ○ Popular for VAT-sensitive buyers • SC1.4 → Confirms that the purchase price is inclusive of VAT
	(3) Exclusive of VAT, but VAT can be added if the law changes • Applicable to: ○ Old commercial building where seller does not have VAT to recover, but there is uncertainty about whether the property may become subject to VAT between exchange and completion ○ Protects seller from the risk of a change in tax law • SCPC Part 2, Condition A1 → Ensures that the seller won't opt to tax before completion, but VAT can be added if the <u>law changes between exchange and completion</u>.

(G) REQUIREMENTS OF A LENDER

- **Lender's Requirements for the Property**
 - Lender may have specific requirements related to the property, including the **type and nature of the property**
 - Lenders perform a **basic valuation** of the property to ensure it is suitable for securing the mortgage
- **Mortgage offer**
 - Once the lender is satisfied with the property + buyer's creditworthiness, they issue a **mortgage offer** (for residential or simple commercial loans) or a **commitment letter** with a term sheet attached followed by a facility agreement (for complex loans)
 - The offer outlines key details:
 - Loan amount
 - Interest rate
 - Loan term
 - Initial repayments

- Any conditions (e.g., required repair works)
 - If repairs are required, there might be a **retention** of part of the mortgage advance until repairs are completed.
- **Acceptance**
 - Mortgage offer may allow the lender to withdraw the offer, **EVEN AFTER CFE**
 - → BS must ensure that the buyer has received, understood, and **accepted the mortgage offer BEFORE CFE**
- **First legal mortgage**
 - Most lenders require a **first legal mortgage** over the property → Will be paid first out of any proceeds of sale
 - **Mortgages are legal if made by deed and completed by registration**
 - **S.101 LPA 1925** → **Power of sale** is implied in the mortgage deed, allowing the lender to sell the property in the event of default.
 - **Mortgage deed**: Likely to be in the lender's standard form and T&Cs, and possibly the **Building Society Rules** if applicable
 - BS must explain the obligation under the mortgage deed, particularly defaulting on mortgage payments + lender's powers in such cases

(H) ACTING FOR THE LENDER

- **Para 6.2 COC** → Possible for BS to be LS too, as long as clients have a **substantial common interest** and **safeguards** are in place
 - **Commercial Mortgages**: More complex, with terms often negotiated. Acting for both the borrower and the lender is harder due to potential conflicts
 - **Common in Residential Transactions**: **Solicitors may act for both borrower and lender with standard mortgage terms** (especially when loans are from high street banks or building societies)
 - Mortgage is on standard terms and is not negotiated
 - A significant part of the lender's activities consist of lending
 - The property will be used as the borrower's private residence
 - Certificate of title required by the lender is in the form approved by **the Law Society** and **UK Finance**
- **Reporting to the lender**
 - **Title Investigation & Pre-contract Searches**: Even where lender is separately represented, it is common for BS to report to the lender on the results of the title investigation and the pre-contract S/E
 - **Certificate of Title**: BS will be asked to prepare and disclose any issues with the property to the lender, which helps the lender decide on further action.
 - Alternatively, LS will obtain copies of title and searches from BS and reports to the lender directly, with the borrower paying the costs
- **UK Finance Mortgage Lenders' Handbook**
 - **Purpose**: Provides detailed instructions for conveyancers on lender-specific requirements (Although designed for the residential market, some lenders will use the Handbook for commercial loans or issue instructions that are very similar)
 - Part 1: Instructions for all lenders using the handbook
 - Part 2: Specific lender requirements that differ from Part 1
 - Part 3: Instructions when the conveyancer represents only the lender (not the borrower).
 - **Lender's Requirements**: Must be met before the lender will release funds.
 - If a conflict arises between B/L, the BS cannot proceed with the transaction until the conflict is resolved.

(I) CERTIFICATE OF TITLE TO LENDER

- **Certificate of Title** = Ensures the property is adequate security for the loan. The lender needs confirmation that the property has '**good and marketable title**'

- **Residential transactions (Law Society + UK Finance)** → Confirms the property has no legal issues and the buyer will own it after completion, and the completion dates when the funds are needed
- **Commercial transaction (City of London Law Society)** → More detailed certificate. Summarises the title investigations and S/E
 - Prepared by BS based on pre-contract investigations
 - Sometimes addressed to buyer and lender, **sometimes to just the lender**
 - Reduces paperwork and reduces the need for duplication of title investigation and S/Es, saving time and costs for buyer and lender
- **Structure of COT**
 - Series of statements about the property
 - Discloses any charges, mortgages, lien, etc.
 - **Warranties** = Certificate guarantees the correctness of the information
 - **If incorrect, the lender can sue the firm that provided the certificate**
- **Timing: COT is given immediately before completion of the loan**
 - Drafts will be provided to B/L's advisors at early stages as an early warning of major issues
 - BS will not exchange contracts until they know the lender is satisfied with the certificate and any disclosures

(J) PURPOSE AND PROCESS OF REPORTING TO THE CLIENT

- After these stages:
 - SS investigates client's title
 - SS prepared draft contract
 - SS deduced evidence of title to BS
 - BS raised the pre-contract S/E and results have been analysed
 - BS investigated seller's title and approved draft contract

(K) PREPARATION FOR AND EXCHANGE OF CONTRACTS

1. **Report to Client:** BS should send **pre-contract report** to buyer
 - Summarising the results of pre-contract S&Es and investigation of title, terms of the contract, mortgage offers, disclaimers (e.g. BS cannot advise on value or structure of the property)
2. **Report to Lender:** BS should also report to the **lender**, confirming the property is good security for the loan and has a **"good and marketable title"**
3. **Deposit Funds:** Ensure that the deposit funds are **available to BS in cleared funds**, ready to be sent to SS upon CFE
4. **Check Mortgage Offer:** Buyer must have the **mortgage offer in place and accepted**, complying with any conditions attached to it, and ensure they have the funds to complete the purchase.
5. **Insurance Arrangements:** **Ensure that the buyer has insurance in place from the moment of exchange**, as the risk passes to the buyer at that point.
6. **Contract Signing:** BS/SS need to ensure their respective clients have signed their copy of the contract.
 - Electronic signatures are valid provided the person signing the document intends to authenticate it and any execution formalities are satisfied (**2019 Law Commission report**)
 - Solicitors can sign on client's behalf if they have **express authority**
7. **Completion Date:** BS/SS should discuss and confirm the completion date with their clients before exchange.

(L) PRACTICE, METHOD AND AUTHORITY TO EXCHANGE

Authority to	BS/SS must obtain clients' express/implied authority to exchange
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exchange	contracts. This should be in writing, and a note should be made on file.
Requirements for a Binding Contract (LP(MP)A 1989)	• Writing • Incorporate all agreed terms • Signed by the parties Each copy is either signed by all the parties or, more commonly, each party signs only their own copy of the contract, which is then physically exchanged for the copy signed by the other party.
Methods of exchange	• In person • By post • Telephone (most common and efficient) Law Society Formulae • Formula A: A holds both parts of the contract. ◦ B will have already sent their client's signed part before exchange ◦ Undertaking → A will send their client's signed part to B on the same day by first class post, DX or hand + BS undertakes to send SS the deposit that day by banker's draft/client account cheque • Formula B: Each solicitor holds their own client's signed copy. ◦ Undertaking → Each solicitor will send the signed part of the contract to the other side on the same day by first class post, DX or hand + BS sends deposit to SS by banker's draft/client account cheque • Formula C: Used for chain transactions (multiple properties sold). Complex and seldom used. Advantage of formulae: All involve undertakings from solicitors. If breached, can result in disciplinary actions against offending party Note: For A/B, If the deposit is to be sent electronically (permitted by the SC / required by the SCPC), the relevant formula will have to be varied accordingly by agreement between the two solicitors.
Recording the exchange	File note is made after exchange • Date and time of exchange • Formula used and any variations • Completion date • Deposit amount • Identities of solicitors involved

(M) CONSEQUENCES OF EXCHANGE

- Binding contract
- Seller retains legal title until completion, but holds the **beneficial interest** for buyer. Seller can remain in physical possession
 - BUT **SC 5.2.2** → **The parties may agree for the buyer to occupy as a licensee**
- Seller is responsible to pay for outgoings until completion
- Buyer bears the risk of any loss or property from the moment of exchange
- Solicitors should inform clients and estate agent that exchange has taken place + Comply with undertakings under Law Society Formula

5. COMPLETION

(A) PRE-COMPLETION STEPS

- Prepare transfer deed (TR1)
- Pre-completion S/E
- Practical arrangements for completion
- Ensuring finances are in order

(B) FORM OF TRANSFER DEED AND FORMALITIES FOR EXECUTION

• Transfer of legal estate

- **S.52 LPA 1925** → Requires the transfer of legal estate in land to be done via deed
 - (1) Clearly stated as a deed
 - (2) Signed
 - (3) Witnessed (private individual)
 - (4) Delivered
- **Company** → Methods of executing a deed
 - (a) Seal + DR/secretary + Witness
 - (b) DR + secretary / 2DRs
 - (c) DR + Witness

• Process

- **Executing transfer deed:**
 - Seller executes transfer deed to transfer ownership
 - **Buyer may have to execute if they are**
 - (i) Giving an indemnity covenant or
 - (ii) Declaring a beneficial interest under a trust
- **Delivery:** Signed deed is presumed to be delivered upon execution.
 - To delay delivery, a clear intention must be expressed in a covering letter
- **Type of deed:**
 - RL: **TR1** (whole transfer) / **TP1** (part transfer)
 - URL: **LR transfer form** or **conveyance**
- **Preparation:** BS prepares **TR1** post-exchange (usually)
- **Content:** Reflect terms of contract and title deeds

• TR1 form details

Panel	Description
1/2	Verify title number and address against the contract and official copies
3	Transfer deed is dated upon completion
4/5	Ensure the names of the parties match those in the contract match those in official copies
6	Ensure buyer's address for communication is correct (either the new address or a registered office in the case of a company)
7	Operative part of the deed should not be amended
8	Purchase price should be written in both figures and words
9	Confirm that the sale is under full title guarantee SC 4.6.2 states the seller is selling with full title guarantee

10	Co-owners → Clarify how the property will be held (TIC/JT)
11	Include indemnity covenants to observe the covenants in the charges register as required by the contract (SC4.6.4)
12	Ensure signatures are witnessed where applicable Seller's signature to transfer ownership Buyer's signature if entering into indemnity covenant or holding property on trust

(C) PRE-COMPLETION SEARCHES

• Purpose

- **Title updates** → Ensure seller hasn't encumbered the title after the initial investigation
- **Financial standing** → Check buyer's financial circumstances for the lender
- **Priority protection** → Protect the buyer's and lender's priority over other potential claims before registering at the LR
- **Company liquidation check** → Confirm that seller company is not in liquidation before paying the balance

• Pre-completion searches of the title

	Registered land	Unregistered land
Form	OS1 (full property) OS2 (part property) Check if new entries have been made since the initial search. Search against: Title number	K15 LCD Search aimed at checking for any new charges or encumbrances Search against: Owners' names
Priority period	30 working days from the issue of OS1R/OS2R (result) Action: Submit an application for registration by 12pm on the last day Result: Ensures buyer or lender has protection against new entries before applying for registration Mortgage Protection: If the buyer is using a mortgage, LR search should be in the lender's name to confer protection to both parties.	15 working days from the issue of K18 (result) Result: If completion happens within this period, the buyer takes free of any new charges. If a K15 search was previously done before exchange, it must be repeated (against current seller's name only) unless the priority period allows completion within 15 days
Checking buyer's solvency for lender	K16 (Bankruptcy Only search) to the LCD, limits the search to bankruptcy register Company buyers: CH search	K15 (add buyer's name to the above search)
Company search of company	Company sellers: Confirm that the company is still in existence and solvent + Whether it has created any charges	

sellers	No priority period, so it should be done close to the completion date In high-value transactions or when there's concern about the seller's solvency, a telephone search at the Registry of Winding Up Petitions at the Companies Court may be performed on the day of completion.	
Bankruptcy search for individual sellers	s.86(5) LRA 2002 → Bankruptcy search is not typically necessary. If there is no notice or restriction on the title indicating that the seller is bankrupt, BFPFVWN will get good title even if the legal title has vested in trustee if bankruptcy Exceptions: If the transaction is high-value or there are concerns about the seller's solvency, a bankruptcy search can still be conducted.	K15 (seller's name)

(D) PRACTICAL ARRANGEMENT FOR COMPLETION

- **Completion Information Form**
 - BS sends **Form TA13 (Completion Information Form)** to SS
 - **Form asks for important details:**
 - (i) **Arrangements for handing over keys**
 - (ii) **Place and method of completion**
 - (iii) **Documents to be handed over**
 - (iv) **Exact amount payable by the buyer on completion**
 - **SS gives undertaking to discharge any mortgage using completion money**
 - SS must list the mortgages and charges on the property and confirm they will redeem them
 - Undertaking includes sending **Form DS1, DS3** and other proof of discharge to BS

(E) ENSURING THE FINANCES ARE IN ORDER FOR COMPLETION

- **Lender will expect to receive:**
 - **(1) COT** → Confirming property is adequate security for the loan
 - **(2) Solvency search** for borrower
 - **(3) Clear OS1R** in **lender's name**
 - (4) Executed but incomplete **mortgage deed**
- **Financial statement**
 - BS sends **Financial Statement** to buyer:
 - (i) Amount needed to complete purchase
 - (ii) Balance of purchase price
 - (iii) SDLT or LTT due
 - (iv) Registration fees, solicitor's fees, and other disbursements
- **Transfer of funds**
 - BS ensures receipt of
 - Mortgage advance from lender
 - Balance of purchase price from buyer (sent to SS as per **Completion Information Form** instructions)
 - Once SS receives purchase price money, completion takes place

(F) METHODS AND EFFECT OF COMPLETION

• Process

- BS sends balance of purchase price + Releases deposit paid on exchange to seller
- Completion money is typically sent electronically
 - **SC 6.7 / SCPC 9.7** require this transfer to be paid by direct transfer / electronically **made from a conveyancer's account in cleared funds**.
- **SS completes the transaction by dating the TR1**
 - **Mortgage deed cannot be dated until the TR1 is dated**

• Completion in person

- BS attend's seller's office for completion
- BS checks title documents against prior evidence (most important in URL)
- SS, In return for completion money, hands over title documents, planning permissions, guarantees, insurance policies
- SS arranges for the release of keys

• Completion by post

- **Law Society Code for Completion by Post:** (relies on undertakings)
 - **(1) SS acts as BS's agent, carrying out the completion procedure at no cost to the buyer.**
 - **(2) BS must specify SS responsibilities in writing**
 - (3) Upon receiving completion money, SS will complete the transaction and **inform BS**
 - (4) Required documents (title documents, etc.) are sent via first-class post/DX
- SS gives an **implied undertaking** under the **Code** to carry out BS's instructions. Can be enforced by the courts.

• Effect of completion

- **RL:** Legal title passes to the buyer only when they are registered at LR as proprietor of the land (Registration gap covered by **OS1**)
- **URL:** Legal title passes to buyer upon completion

(G) POST-COMPLETION STEPS

• Discharge of the seller's mortgage

- **Discharge Arrangement:** Discharge of the seller's mortgage is agreed via the **Completion Information Form**.
- **Process:** SS discharges the mortgage using the **completion money**.
 - After payment, the lender either:
 - (i) Completes **LR Form DS1** → Send to SS → Send to BS
 - (ii) Submits an **e-DS1 electronic discharge** through the LR portal.
 - (ii) Use the **Electronic Discharge (ED) system** → Send an electronic message to LR → Automatically remove the charge from the register.
- If (ii) e-DS1 or (iii) ED is used, SS will send BS confirmation that notice of release/discharge in electronic form has been given to LR

• SDLT/LTT

- **Deadline:**
 - **SDLT:** **14 days** of completion
 - **LTT:** **30 days** of completion
 - **Return filing:** **SDLT1** or **Land Transaction Return** must be filed either online or on paper
 - **Proof of payment:** HMRC will issue an **SDLT5** form / WRA will issue a **WRA certificate**, **both of which are required for LR registration**
 - **Consequences of delay:** Fines and penalties for late payment, and registration of the buyer as proprietor will be rejected without the tax payment proof.

- **Registration of the new charge at Companies House**
 - **For Company Buyers:** If the buyer is a company, the mortgage must be registered at CH **within 21 days of creation.**
 - **Consequences:** Failure to register within this period makes the charge **void** against a liquidator or administrator.
- **Land Registry applications**

Registered land	Unregistered land
Form AP1: Used for applying to register the buyer as the registered proprietor + Lender as the charge holder Should be made before expiry of OS1R	Form FR1: Application for first registration must be made in 2 months of completion Application must also include: Appropriate fee Form DL (documents listed in duplicate), which will be returned to BS with an estimate of processing time Registrar's Role: Investigate the title to determine the appropriate class of title. (Non-conveyancers must submit original deeds and documents with first registration applications)
Documents needed: • Certified copy of transfer (TR1) • SDLT5/LTT certificate • DS1 (if not electronically discharged) • Form DI (disclose overriding interests, to be entered onto the register and cease to be overriding) If buyer has created a new mortgage: • Certified copy of mortgage deed • (Company buyers) Certified copy of the certificate of registration issued by CH + BS/Lender's written confirmation that the enclosed mortgage deed is the same as the one filed at CH and related to the certificate of registration	Documents needed (All documents forming evidence of title, including those provided by the SS) • All evidence of title • Pre-contract searches and inquiries (with replies) • Contract • Requisitions on title (with replies). • Pre-completion search certificates. • Transfer deed. • Seller's mortgage, duly received. • SDLT5/LTT certificate • Form DI If buyer has created a new mortgage: • Certified copy of mortgage deed • (Company buyers) Certified copy of the certificate of registration issued by CH + BS/Lender's written confirmation that the enclosed mortgage deed is the same as the one filed at CH and related to the certificate of registration
Land Registry Processing Forms: • AP1/FR1 must be submitted for properties over £5,000 in value. ○ Details of the conveyancer must be provided, and if no conveyancer is involved, evidence of the party's identity must be submitted. • Title Registration: LR will register the buyer as the new proprietor and the lender as the proprietor of the charge.	

- LR will send a **Title Information Document (TID)** to BS
 - TID = Evidence that buyer is the new owner
 - BS/LS should check the TID to ensure the transfer and mortgage have been correctly registered.
 - TID and other documents should be securely stored
 - If the property was bought with a mortgage, the lender may retain the documents, or the buyer may keep the TID.

(H) REMEDIES FOR DELAYED COMPLETION

• Overview

- **Default Completion Time (SC6.1.1 / SCPC 9.1.1):** The completion time must be **before 2pm on the completion date**, or else it is treated as occurring on the **next working day due to the buyer's default**.
 - Possible Variations: The completion time can be adjusted
- **SC/SCPC** → **Time is not of the essence unless a notice to complete has been served**.
 - Non-defaulting party **cannot terminate or rescind** the contract on the completion date unless a **notice to complete** has been issued.

• Contractual compensation

- Compensation
 - **SC 7.2** → **BOTH the buyer and seller can be required to pay compensation**
 - **SCPC 10.3** → **Only the buyer can be required to pay compensation**
- Calculation
 - Compensation is calculated on the **balance of the purchase price (minus the deposit)** for the delay period.
 - **Daily Rate:** Compensation is calculated daily from the agreed completion date to the actual completion date

• Common law damages

- **Breach of Contract:** Failure to complete on time is a breach, and the seller may claim damages for losses caused by the delay.
- **Damages:** **Direct and foreseeable losses, putting C back in the position it would have been had the contract been properly performed (Hadley v Baxendale)**
 - Wasted legal costs
 - Storage of furniture
 - Renting alternative properties
 - Bridging finance costs
 - Rebooking removal costs
- **Deduction:** **Any compensation received will be deducted from damages**

• Notice to complete

- A notice to complete can only be served after the contractual completion time
- **Effect of Notice:** **Once served, time becomes of the essence**, and the other party has **10 working days** to complete.
- **Failure to Complete:**
 - If the buyer defaults, the **seller can forfeit the deposit**.
 - If the seller defaults, the seller must **return the deposit to the buyer**.
 - The non-defaulting party can also claim damages for losses.

• Rescission

- **Grounds for Rescission:**
 - If a party **fails to comply** with a notice to complete.
 - If there has been a **misrepresentation** by the seller regarding the property.
- BUT rescission will only be allowed where the seller's error or omission results from **fraud or recklessness**
 - Less serious misrepresentations only entitle the buyer to damages

6. STRUCTURE AND CONTENT OF A LEASE

(A) ADVANTAGES AND DISADVANTAGES OF OWNING A LEASEHOLD PROPERTY

	For Tenants	For Landlords
Advantages	Flexibility <u>Short-term leases</u> allow tenants to relocate more easily if their business needs change. <u>Break clauses</u> offer further flexibility by enabling tenants to terminate the lease early under specific conditions.	Control through covenants Leases allow LLs to enforce positive covenants that are difficult to impose on freehold land, particularly in buildings with multiple occupants.
	No large capital outlay Unlike purchasing a freehold, leasing does not tie up significant business capital in the premises. Any initial premium paid is often significantly less than the cost of purchasing the property outright.	Capital interest The LL retains the freehold, preserving the property as an asset.
		Service charges Properly drafted leases enable landlords to recover costs for repairs + maintenance through service charges payable by tenants.
		Steady income Leasing the property at a market rent provides a consistent source of income.
Disadvantages	Depreciating asset A lease begins depreciating from the moment it is granted, with no long-term return for the tenant. At the end of the lease term, ownership of the property reverts to the LL.	Unreliable tenants There is always the risk that a tenant may fail to pay rent or neglect the premises, causing damage and reducing the property's value.
	Landlord control The LL often retains significant control, imposing restrictions on what tenants can and cannot do with the property.	Market dependency The income + capital value of the lease are tied to fluctuations in the property market, creating potential financial uncertainty.

	Repairing obligations Tenants are often responsible for repairing obligations, which can result in significant financial outlay.	
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(B) STRUCTURE OF A TYPICAL COMMERCIAL LEASE

Element	Description
Prescribed clauses	- Required for leases dated on/after 19 June 2006 that are granted out of RL and are compulsorily registrable and must contain a standard set of clauses at the beginning of the lease Prescribed clauses = Summarises key lease details and include information necessary for the LR to complete registration efficiently
Commencement	- Specifies the lease's starting date - Lists the names and addresses of the parties - Includes LR headings when created out of a registered title
Interpretation	Provides definitions to avoid repetition and ensure clarity
Grant of the lease	Operative clause where the landlord grants the tenant a lease over the property for a specified term (Fixed, periodic, or at will)
Ancillary rights	Grants tenants rights over other land, such as access roads, parking spaces, or loading areas, to facilitate effective use of the property
Rights excepted and reserved	Reserves certain rights for the LL over the leased property, such as entry for repairs or maintenance of shared systems
Annual rent	- Specifies the rent payable by the tenant, often quarterly in advance on historic quarter days (25 March, 24 June) - May include other tenant payments, such as insurance premiums, categorised as rent for ease of enforcement
Rent review	Mechanisms to adjust rent during the lease term to reflect changes in market rental values
Tenant's covenants	Outlines tenant obligations regarding property use, repair and maintenance
Landlord's covenants	Details LL's obligations, often limited to insuring the property
Landlord's right to enter on breach of repair covenant	Permits the LL to inspect the property, issue repair notices, and undertake necessary repairs if the tenant fails to comply
Re-entry and forfeiture	Allows the LL to terminate the lease if the tenant breaches covenants / fails to pay rent

Additional provisions for leases of part

Includes rights to use shared spaces and mechanisms for recovering maintenance costs through service charges

(C) OPTIONS FOR THE TERM OF A LEASE

• Fixed-term lease

- **Definition:** Specifies a set duration in weeks / months / years
- **Break clause:** May be included, allowing tenants to terminate early
- **Termination:** Automatically ends at the term's conclusion unless extended / renewed

• Periodic tenancy

- **Definition:** Continues indefinitely, renewing automatically from one period to the next
- **Termination: With notice equivalent to one lease period**
 - **Exception: Yearly tenancies require 6 months' notice**

• Tenancy at will

- **Definition:** Allows occupation with no fixed term and **can be terminated at any time by either party**
- Typically informal and less common in commercial contexts due to their uncertainty
- May arise unintentionally, such as when a tenant remains in possession after a formal lease expires

(D) TYPES OF LEASEHOLD COVENANT

• (1) Absolute Covenants

- **Definition:** Prohibits the tenant from undertaking specified actions **under any circumstances**
 - LL has complete discretion to allow the prohibited action
- *Example: "The tenant shall not make structural alterations to the property"*

• (2) Qualified Covenants

- **Definition:** Allows the tenant to carry out the specified action but only with LL's prior consent, which is discretionary and may be withheld without the need to justify the decision
- *Example: "The tenant may assign the lease only with the landlord's prior written consent"*

• (3) Fully qualified Covenants

- **Definition:** Permits the tenant to perform the specified action, provided LL's prior consent is obtained, which the landlord CANNOT unreasonably withhold or delay.
 - This standard of reasonableness is enforced by law
- *Example: "The tenant may sublet the premises with the landlord's consent, such consent not to be unreasonably withheld or delayed"*

- **NOTE:** Tenants are free to do as they wish with the leasehold, subject to provisions to stop them and the general law

• Balancing Landlords and Tenants Interests

- LL's perspective
 - (+) LLs favour covenants to maintain control over the property, monitor occupancy, and preserve its value
 - (-) LLs recognise the need to allow some tenant flexibility to ensure the lease is commercially viable and marketable. Excessively restrictive covenants may lower the marketability of the lease, potentially reducing rental value during rent reviews.
- Tenant's perspective
 - (-) Tenants prefer minimal restrictions to maximise their freedom to adapt the property to their needs
 - (+) FQCs are most desirable as they limit the landlord's ability to unreasonably refuse consent

- Tenant's solicitors often negotiate for the inclusion of terms 'reasonable' and 'reasonably' to mitigate the landlord's discretion

(E) FULL REPAIRING AND INSURING LEASE

• Definitions

- **FRI Lease** = Places responsibility on the tenants for repairs, maintenance and insurance costs. Standard model for **COMMERCIAL** leases in E&W
 - Ensures that the LL receives a clear rental income without needing to use it for property upkeep
 - Preferred by institutional investors because it preserves the capital value of the property by ensuring that:
 - The building is kept in good repair
 - Lease reserves a market rent throughout the term
 - The investment is readily saleable if necessary
- FRI leases are heavily weighted in favour of LLs, ensuring the property is maintained and insured without incurring direct costs.
 - Tenants must carefully negotiate **repair and insurance clauses** to limit liability and ensure adequate rent suspension and termination provisions.

• Key features

○ (1) Repair

- **Tenant's responsibility** → **Tenant is responsible for repairing the leased property**
 - **Sole tenant of the whole building** → Tenant is usually under a full repairing obligation for the whole building
 - **Multi-tenant properties** → LLs often maintain structural components and common areas, passing costs to tenants via a **service charge**
- Case law on the extent of repair obligations
 - **Post Office v Aquarius Properties Ltd** → There must first be disrepair before a breach occurs
 - **Proudfoot v Hart** → The property must be fit for occupation by a **reasonably minded tenant**, not in perfect condition
 - **Lurcott v Wakeley** → Repair involves restoring parts of a whole, not replacing the entire property
 - **Ravenseft Properties Ltd v Davstone (Holdings) Ltd** → A repairing covenant does not oblige the tenant to give back to the LL a property that is 'wholly different' from that leased to them, but **Tenants may need to remedy inherent defects if that is the only way to effect repairs**
- Beware of additional wording:
 - **Keep in repair** = Tenants are obliged to put the property into a better condition than when they entered into the lease if necessary
 - **Good condition** = More onerous. May require works even without visible or actual disrepair

○ (2) Insurance

- **Landlord's obligations** → **LL's covenant to insure the property against defined risks (insured risks)**
 - Insurance should cover all **reasonable** risks (though limitations and exclusions apply)
 - **Full reinstatement value** = Includes costs of demolition and site clearance, professional fees, and an allowance for inflation
 - Liability for any shortfall in the proceeds are passed on to the tenant in the repairing covenant
- **Tenants obligations** → **Tenants are typically required to pay an amount termed as "insurance rent"**

- **Insurance rent** =
 - (i) Premium for LL's building insurance policy
 - (ii) Insurance for the LL against loss of rent during periods when property is unusable due to an insured risk
 - (iii) Costs for property valuations for insurance purposes

○ (3) Reinstating Property

- **LL's obligations** → LL is generally obligated to use insurance proceeds to reinstate the property after damage caused by an insured risk.
 - **Limitations on obligation:**
 - Depends on obtaining planning or other necessary consents
 - It may not apply if proceeds are insufficient unless otherwise negotiated
 - **Tenants may negotiate for**
 - LL to cover shortfalls in insurance proceeds
 - Sharing of insurance proceeds, particularly for long leases with premiums paid by tenants
 - Provisions to deal with situations where reinstatement is impossible, and proceeds could be passed over to tenant who has been paying the premiums

○ (4) Rent suspension

- **Rent payment obligations continue even if the property is unusable unless expressly modified by the lease.**
- Tenants should negotiate a **rent suspension clause** for periods when the property is damaged by an insured risk and unfit for use.
 - **Possible condition:** Rent suspension does not apply if the tenant's actions (or those of authorised persons) vitiated the insurance policy.
 - If damage occurs due to risks not covered by the insurance policy, or if the insurer withholds payment due to tenant negligence, the tenant will be liable for repairs under their **repairing covenant**.
 - Without a break clause or termination right, tenants may resume paying rent for an unusable property once the rent suspension period ends.
 - **Limited duration:** Typically limited to the duration of loss of rent insurance / often 3 years
 - *Example:*
 - *Rent suspension continues until:*
 - (i) Property is reinstated and fit for use; or
 - (ii) Three years from damage date (or earlier if reinstated sooner)
 - **Limited scope:** The lease can limit the scope of the rent suspended so that a fair proportion of rent may still be payable

○ (4) Termination

- **LL's right** → If reinstatement is impossible or impractical, the lease will often give the LL the right to terminate the lease
- **Tenant's right** → The lease may provide that the tenant may terminate if the property is not reinstated within the rent suspension period
 - Insurance proceeds usually remain with the LL unless otherwise agreed

Example: Lightning Strike	Example: Burglary Damage due to Tenant Negligence
1. <u>Responsibility for reinstatement:</u> LL must	1. <u>Responsibility for reinstatement:</u> Tenant is

reinstate under its covenant to insure against lightning damage. Tenant's repair covenant does not apply to insured risks 2. <u>Rent payment</u>: Rent suspension applies to the portion of the property unfit for the occupation. LL can claim loss of rent insurance for suspended rent 3. <u>Lease Termination</u>: Tenant cannot terminate unless reinstatement is incomplete after 3 years (for example)	liable for repairs since negligence (failing to lock the doors) likely voided/vitiated the insurance policy 2. <u>Rent payment</u>: Full rent is payable. Rent suspension only applies to insured risks, and the landlord's insurance obligation is subject to exclusions 3. <u>Lease termination</u>: Tenant cannot terminate as the damage is not caused by an insured risk under the lease
Ask: 1. The insured risk definition and coverage scope 2. Cause of damage (insured risk / tenant negligence) 3. Lease terms (reinstatement obligations / rent suspension / termination rights)	

(H) ALTERATIONS

• Absolute Covenants

- **Effect**: Completely prohibits certain types of alterations
- **Exceptions (s.3 LTA 1927)**: **Tenants may circumvent absolute prohibitions on 'improvements'**
 - (1) Tenant who wants to carry out improvements can serve a **notice** on the LL detailing its proposals
 - (2) LL has **3 months to object**
 - (3a) If LL objects, tenant has the **right to apply to the court for authorisation to carry out the improvements**
 - Court can authorise the improvements if they
 - (a) Add to the letting value of the property
 - (b) Are reasonable and suitable to the character of the property
 - (c) Do not diminish the value of any other property of the landlord
 - (3b) If LL offers to carry out the works itself in return for a **reasonable increase in rent**
 - Tenant is not obliged to accept the offer and may withdraw its notice
 - If notice is withdrawn, the LL has no right to carry out the works and increase rent
 - **If offer is rejected, the court CANNOT give the tenant authority to do the works itself**
 - (4) If LL does not offer to carry out the works itself, or object within 3 months, or if court authorises the work, **the tenant may lawfully carry them out, even if the lease contains an absolute covenant against those works**

• Qualified Covenants

- **Effect**: Allow alterations with the LL's consent, but no explicit obligation to provide such consent
 - **Licence to alter** = The consent, and the conditions, will typically be imposed in this separate document
- **Exceptions**: **S.19(2) LTA 1927 implies a term into a QC that consent for 'improvements' cannot be unreasonably withheld**
 - **IMPORTANT**: If the alteration increases the value/usefulness of the property **TO THE TENANT**, they will constitute an improvement, **EVEN IF** they reduce the value of the LL's reversionary interest

- **Fully Qualified Covenants**

- **Effect:** Allow alterations with the landlord's reasonable consent
- **Consent for FQCs cannot be withheld unreasonably regardless of whether the proposed works are 'improvements'**

- **Compensation for improvements**

- **s.1 LTA 1927:** Tenants who use **s.3 LTA 1927** to obtain prior authorisation for improvements **may claim compensation** at the end of the lease term if the improvements **add to the letting value of the property**
 - Statutory time limits apply
- In practice:
 - Rarely used due to time limits and complexities
 - Most leases require tenants to reinstate the property at the end of the term, eliminating the improvements eligible for compensation.

- **Considerations**

- Landlord
 - For non-structural alterations → Consent should include
 - Detailed specifications and plans
 - Reinstatement obligation at the end of the lease
 - Payment of reasonable fees for professional advisors
 - For structural/external alterations → Refusal is within the LL's discretion unless the tenant successfully uses **s.3 LTA 1927**. The LL can demand compliance with planning requirements
- Tenant
 - Comply with consent conditions
 - Use **s.3 LTA 1927** only if the LL unreasonably withholds consent for significant improvements
 - Be aware of reinstatement obligations to avoid unexpected costs

(I) USER AND PLANNING

- **Types of User Clauses**

- **Narrow User Clause:**
 - Example: *"Not to use the Premises other than as a restaurant."*
 - Limits tenant flexibility
 - May reduce rent at rent review
- **Broader User Clause:**
 - Example: *"Not to use the Premises other than as a restaurant or such other use falling within Use Class E of the Town and Country Planning (Use Classes) Order 1987."*
 - Provides more flexibility for the tenant while allowing the LL some control.
- **Qualified User Clause:**
 - Example: *"Not to use the Premises other than as a restaurant or such other use falling within Use Class E of the Town and Country Planning (Use Classes) Order 1987 as the Landlord may approve in writing."*
 - Gives the LL authority to approve changes to the use.
- **Fully Qualified User Clause (Tenant Preference):**
 - Example: *"Not to use the Premises other than as a restaurant or such other use falling within Use Class E of the Town and Country Planning (Use Classes) Order 1987 as the Landlord may approve in writing (such approval not to be unreasonably withheld)."*
 - Protects the tenant by ensuring the LL cannot unreasonably withhold consent for changes in use.

- **Statutory considerations**

- **s.19(3) LTA 1927:** **LL cannot charge fines or increase rent as a condition for giving consent to a change of use, provided no structural alterations are involved**

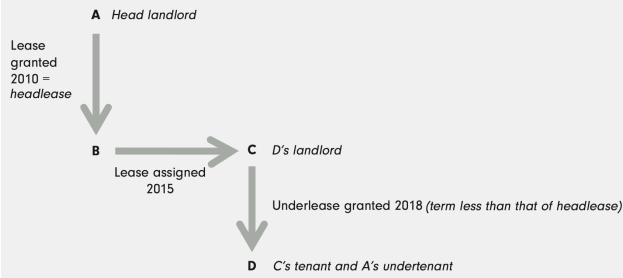
- **BUT There is no statutory implication that the LL's consent cannot be unreasonably withheld for QUALIFIED user covenants**
- Note: PPs and covenants may affect the ability to change use
 - Check:
 - **Town and Country Planning (Use Classes) Order 1987**
 - Any title covenants affecting the property
 - LL may impose a covenant not to apply for PP consents without the LL's permission

(J) ALIENATION

● Alienation terminology

- **Alienation** = Different ways of creating an interest in the property for the benefit of a third party
 - **(1) Assignment**
 - **(2) Underletting / Subletting**
 - **(3) Charging / Mortgaging**
 - **(4) Sharing occupation** (Licence, concession agreement, etc.)
 - Some leases permit sharing occupation only with companies in the same group and on terms that no tenancy is created
 - **(5) Parting with possession** (catch-all term)
 - Most leases prohibit charging → LL does not want a lender to take possession of the property / exercise power of sale
- **Transactions**

<pre> graph TD A -- "Lease granted 2010" --> B B -- "Lease assigned 2015" --> C C -- "Underlease of part granted 2018" --> D </pre>	<i>A = Freehold owner</i> <i>A let the whole of the property to B for a term of 20 years (2010)</i> <i>B assigned the lease to C (2015)</i> <i>C granted D an underlease of the top floor (2018)</i>
<pre> graph TD A -- "Lease granted 2010" --> B </pre> A Landlord – owns freehold estate and reversionary interest B Tenant – owns the leasehold estate	First stage (2010) <i>A was the landlord of B upon granting the lease.</i> <i>A and B negotiated the terms of the lease.</i> <i>A owns the reversionary interest.</i> <i>B owns the leasehold estate.</i>

	Second stage (2015) <i>B sold the lease to C by way of an assignment.</i> B = Assignor C = Assignee <i>C could not negotiate the terms of the lease as it had already been granted in 2010 and they were buying the unexpired residue of the lease.</i>
	Third stage (2018) <i>The lease granted between A and B = Headlease</i> A = Head landlord <i>In accordance with the terms of the head lease, A's consent was obtained and a lease of part of the premises was negotiated between C and D = Underlease</i> <i>The term of the underlease must be less than C's headlease, otherwise it will be an assignment</i>

• Assignment

○ General rules

- **Assignment** = Transfers the tenant's (assignor) interest in the existing lease to a new tenant (assignee)
- **Commercial leases** → Typically allow assignment of the whole property but not of a part as many properties are unsuitable for legal/physical subdivision

○ Statutory provisions

- **s.19(1)(a) LTA 1927: Converts a QC into a FQC by implying the LL cannot unreasonably withhold consent to assignment**
- **s.19(1A) LTA 1927: Allows pre-agreement on conditions and circumstances for reasonable refusal of consent**, such as:
 - Assignor providing an **Authorised Guarantee Agreement (AGA)**
 - Assignee proving sufficient financial strength
 - Assignor being up to date with rent
- **S.1 LTA 1988: Where there is a QC on assignment and the tenant has made a written application for consent, the LL must:**
 - Respond within a **reasonable time**
 - Give consent unless it is reasonable not to
 - Serve a **written notice** on tenant of its decision whether or not to give consent, specifying:

- **Conditions**, if consent is subject to them
 - **Reasons** for withholding consent
- **Guidelines for Reasonableness under s.19(1)(a) (Court of Appeal, 1986)**
 - **Reasonable grounds for refusing consent:**
 - (i) **Unsatisfactory references** for A2
 - (ii) **Extensive, unremedied breaches** of covenants by A1
 - (iii) A2's use of the premises would **compete** with the landlord's business or harm tenant mix
 - (iv) Assignment **reduces the landlord's reversionary value**,
 - **UNLESS the landlord has no intention of selling**
 - (v) A2 would gain **Part II LTA 1954** protections not held by A1
 - ⇒ Somehow the factors **don't include** where A2 may breach a permitted use, but ok!
 - **Unreasonable grounds for refusing consent:**
 - (i) Minor breaches of covenants
 - (ii) Attempting to extract financial advantage
 - (iii) Where premises had been on the market for **18 months**, rent was significant, and the slight harm to the LL would be **outweighed** by prejudice to the tenant
 - **Court's guidelines**
 - **1. Purpose of FQC** → The main purpose of a FQC is to protect the LL's premises from undesirable use and occupation by an undesirable A2
 - **2. Relevant Grounds for Refusal** → LL cannot refuse consent for reasons unrelated to the landlord-tenant relationship or the lease subject matter
 - **3. No need for Justification** → LL is not required to prove the conclusions leading to refusal, provided those conclusions could reasonably be reached by someone in the landlord's position
 - **4. Use of Premises** → It may be reasonable for LL to refuse consent based on the proposed use by A2 even if that use is not explicitly prohibited in the lease
 - **5. Balancing Interests** → LL must also consider extreme/disproportionate detriment to the tenant if consent is refused. If tenant detriment significantly outweighs the landlord's benefit, withholding consent may be unreasonable
 - **6. Fact-specific Determinations** → The reasonableness of withholding consent is a fact-specific inquiry, depending on all relevant circumstances and the conduct/conclusions of a reasonable landlord.
- Recommendations for LL
 - **(1) Gather information** → Request references, financial accounts, guarantor details
 - **(2) Ensure conditions are met** → Confirm that A1 provides an AGA / A2 provides a guarantee, etc.
 - **(3) Assess Reasonableness of Refusal** → Refusal must be based on relevant grounds. Refusal based solely on the breach of user covenant may also be reasonable
 - **(4) Review Planning and Use Issues** → Evaluate whether the proposed use aligns with the lease terms and PPs. Advise the tenant to apply for planning permission if required
 - **(5) Formal Response** → If refusing, serve a written notice outlining (i) Reasons for refusal, (ii) Any conditions for granting consent

LL is not obligated to agree to the assignment if valid concerns about A2's financial standing, the user covenant, or unmet conditions exist.

To protect its position, the LL should:

- 1. Conduct thorough checks on A2.
- 2. Require compliance with s.19(1A) conditions (AGA, guarantor).
- 3. Clearly document reasons for refusal or conditions for approval to comply with s.19(1)(a)

- **Underletting**

- **Underletting** = Created by a tenant (headtenant) for the same property. An estate in land that must be for a shorter term than the headlease
- **Reasons for underletting:**
 - (a) Temporary surplus in space requirements
 - (b) Avoiding vacant property and wasted rent
 - (c) Retain the option to regain property in the future
 - (d) Dispose of part of the property while keeping the remainder
 - (e) Market-driven choices: Underletting may be more viable than assignment in
 - Falling markets → Can sublet for rent below headlease rent
 - Buoyant markets → Achieve profit from sublet rent
 - (f) LL has concerns about the financial strength of the proposed new occupier so will not give consent to assignment. The risk that the proposed new occupier will not pay rent rests with the headtenant
 - (g) Tenant can exercise a LL's control over the UT, unlike assignment where the tenant may be liable for any defaults due to AGA
- **Landlord Concerns**
 - **(1) UT becomes the direct tenant**
 - Forfeiture of the headlease → UT may apply for **relief from forfeiture** and retain occupation rights
 - Surrender / disclaimer of the headlease → LL could inherit the UT as their direct tenant
 - Expiry of both leases → UT may apply for a new lease under **LTA 54** if eligible, while the headtenant does not
 - **(2) Limited control over the property**
 - While the HT remains legally liable for the performance of covenants, the UT has physical control over the premises
 - LL's ability to inspect/enforce repairs is reduced because such rights are exercisable through the HT
 - Creates additional complexities for property management and enforcement of lease obligations
- **Statutory Provisions**
 - **s.19(1)(a) LTA 1927: Implies into any QC that LL consent to underletting cannot be unreasonably withheld**
 - **S.1 LTA 1988: Where consent is required in a QC or FQC, LL MUST:**
 - Respond within a **reasonable** time
 - Must give **written notice** with
 - Conditions for granting consent
 - Reasons for refusal if applicable
- **Common lease conditions for underletting**
 - (a) Terms **mirroring** Headlease
 - (b) **Rent must match/exceed headlease rent**, and be reviewed at the same intervals and terms
 - (c) **Exclusion of s.24-28 Part II LTA 54** right to renewal at the end of term

- (d) **Direct covenant** between UT and LL to perform the covenants in the underlease and headlease, **except any rent payment to the LL**. Creates a contractual relationship in which the LL can sue the UT for breaches of either lease
- (e) Prohibition on further underletting

(K) RENT AND RENT REVIEW

• Rent provisions in a lease

- (a) **Annual Rent and Payment Details**
 - Rent is usually paid in **4 equal instalments (quarterly)** on **historical quarter days** → **25 March, 24 June, 29 September, 25 December**
 - Rent is typically paid in advance unless stated otherwise
 - **Apportionment** = Interim payments are calculated daily if the lease starts on a date other than a rent payment date
- (b) **Payment Terms**
 - Method of payment usually specified → Direct debit, electronic transfer, etc.
 - VAT → A grant of a commercial lease is an exempt supply, subject to the landlord's option to tax under VAT Act 1994
- (c) **Rent Review**
 - The rent cannot change unless there are express provisions to that effect

• Types of rent review

- **(1) Fixed increase**
 - Predetermined increases at set intervals.
 - Simple but rarely used due to a lack of flexibility
- **(2) Index-linked**
 - (+) Adjusted based on an external index to allow for rent to be altered in line with inflation (e.g., **Retail Prices Index**)
 - (-) However, it does not track the property market specifically and may include discrepancies.
 - (+) May include a 'cap and collar' to limit the % increase but also ensure a minimum increase.
- **(3) Tenant's Receipts-Based**
 - Rent is linked to tenant turnover or other financial metrics.
 - (+) LL can track actual financial health of tenant
 - (+) Gives LL an incentive to do all it can to increase the tenant's trade
 - (-) Risks income reduction to the LL if the tenant struggles.
- **(4) Open Market Rent Review**
 - Most common. Rent is reassessed based on the open market rental value at regular intervals
 - Valuation Basis
 - **Hypothetical assessment** = The market rent will be assessed based on what a hypothetical tenant would pay for a hypothetical lease of the property
 - **Adjustments:**
 - **Assumptions:**
 - Willing landlord/tenant
 - Vacant possession
 - Same lease terms (except rent amount, but with the same rent review terms)
 - Property fully restored if the property had been destroyed/damaged
 - Tenant's full compliance with covenants
 - **Disregards:**
 - Tenant's goodwill

- Tenant's improvements (including voluntary improvements)
 - Tenant's occupation effects (landlord cannot argue that the tenant should pay an inflated rent to avoid the costs of relocation)
- **Complicated bit: Term of the lease**
 - Market downturn → Hypothetical tenants might seek the flexibility of shorter terms
 - Market upswing → Hypothetical tenants might pay more for a longer term as they want stability
 - Difficult to predict what economic conditions will be like at each rent review date.
 - Alternative approach: Provide that the hypothetical lease term is equal to the unexpired residue of the actual term + Minimum term to cover the situation where the actual lease is very close to expiry
- **Process for Determination**
 - Rent adjustment type: Often upwards-only, ensuring that rent does not decrease even in a declining market
 - Review frequency: Typically every 3-5 years
 - Negotiation process: Specialist valuers negotiate rent informally
 - Time will not be of the essence for this process
 - Most leases will provide for the tenant to continue paying the existing rent during negotiations + Interest on any delayed increase when rent review is eventually settled
 - Disputes: Disputes may be referred to an independent party, such as the **Royal Institute of Chartered Surveyors (RICS)**

(L) CODE FOR LEASING BUSINESS PREMISES

- **Background**
 - The Code is aimed to address imbalance between LL and tenants in lease negotiations
 - Became a **MANDATORY RICS Code for leasing business premises** in 2020
 - First professional statement for all RICS members to observe mandatory parts, and to have a justifiable good reason to depart from its other best practice statements
 - Who is bound: Any RICS surveyors, but **NOT**
 - LL / LLS
 - non-RICS surveyors and agent
 - **Consequences of breach:** Supports a negligence claim against the **SURVEYOR** + Possible disciplinary action
- **Mandatory requirements of the RICS Code:**
 - **1. Fairness and collaboration** → Lease negotiations must be approached in a constructive and collaborative manner
 - **2. Professional advice** → Parties not represented by RICS professionals **must be informed of the Code** and be advised to seek advice
 - **3. Comprehensive written terms** → Transaction terms must be recorded in writing, subject to contract and must summarise specified details as a minimum
 - Heads of terms must include specified details
 - Identity and extent of the premises, together with any special rights to be granted
 - Length of term + details of any renewal or break rights
 - Amount of rent
 - Frequency of rent payments + frequency and basis of any rent review

- Liability for payment of insurance premiums
 - Ability to assign, underlet, charge or share the premises
 - Repairing, permitted use and alterations obligations.
- **LL is responsible for ensuring that heads of terms containing the specified provisions are agreed before the draft lease is sent to TS for approval.**
- Best Practice Recommendations (not mandatory):
 - Clear property identity with a lease plan
 - Tenant should be granted all necessary rights for the intended use of the property
 - Repair obligations should reflect lease length and property condition
 - Standard provisions for alienation clauses
 - Restrictions on alterations / change of use to be no more than necessary to protect property value

7. PROCEDURAL STEPS FOR THE GRANT OF A LEASE / UNDERLEASE

(A) DRAFTING THE LEASE

• Introduction

- LL's major considerations: Tenant's strength of covenant (reliability to pay rent and fulfil covenants)
 - Obtain references
 - Obtain guarantees from parent company, bank, directors
 - Require a rent deposit
- **Underlease checklist:** HT must check the headlease terms for
 - Permission to underlet
 - Requirement for HLL's consent
 - Ensure underlease term **is at least 1 day shorter** than the headlease residue to avoid unintended assignment of the headlease

• Drafting process

- (1) LLS drafts and sends the lease to TS
- (2) TS proposes amendments
- (3) Both sides negotiate to reach a balanced agreement
 - Compromises: Tenant seeks operational freedom while LL aims to maintain control for investment protection
 - Underleases: Scope for negotiating terms is more restricted as the headlease likely requires mirroring of terms in the underlease

(B) PURPOSE OF AN AGREEMENT FOR LEASE

- **Contract / Agreement for a lease** = Used when there is a delay between agreeing on the lease and granting it, and a binding commitment is needed.

- In leasehold transactions it is quite common to bypass the contract and proceed straight to completion

• Common scenarios

- LL's needs:
 - Constructing property and ensuring rental income post-completion
 - Repair / refurbishment works with tenant commitment to offset costs
 - Consent required from lender or superior LL
 - Negotiating surrender from a current tenant to align with a new lease
- Tenant's needs:
 - Major works required before lease commencement
 - Planning permission for intended use

• Drafting the agreement

- LLS prepares the Agreement, akin to a freehold sale contract
- Includes:
 - Leasehold particulars: Terms and obligations
 - Final agreed lease/underlease attached to the agreement
 - Indemnity for future breaches of covenants
 - Disclosure of incumbrances affecting title

• Standard provisions

- **SC 8.2 / SCPC 11.2.3 →**

- (i) Lease/underlease in the form annexed to the draft agreement/contract
- (ii) LL supplies engrossed lease/underlease to the tenant **at least 5 working days before completion**

(C) DEDUCTION AND INVESTIGATION OF TITLE

- (1) LL's investigation of title
 - Before drafting the lease/underlease, LLS will need to investigate the client's title to ensure they are entitled to grant the lease
 - LLS should identify title issues early and address any problems
 - **Mortgage consideration:** If the property is mortgaged, review existing mortgage terms for restrictions on granting leases. Obtain lender's consent if the mortgage includes a prohibition or restriction.
- (2) Tenant's investigation of title
 - Leases
 - Tenant may request evidence of title to confirm ownership and identify title issues that might affect the lease, especially if
 - A premium is paid for the lease
 - The lease is security for a loan
 - The lease has significant rent
 - **General law: A tenant cannot call for deduction of the freehold title unless the lease granted is for a term of over 7 years**
 - SC 8.2.4 / SCPC 11.2.4 → For leases over 7 years, the LL is required to provide title sufficient for absolute leasehold registration
 - **Unregistered freehold** → Absence of freehold title may prevent the tenant from obtaining absolute leasehold title upon registration
 - **Registered freehold** → Tenant will still review the freehold title to identify any burdens affecting the leasehold title
 - If the LL's title is registered, tenant can check the title under the **Open Register** rules
 - Underleases
 - Deduction of title for:
 - **Registered headlease** → No need to review the freehold title.
 - **Unregistered headlease** → **UT entitled to headlease document and all subsequent assignments for the last 15 years**
 - **Freehold title** → UT is only entitled to call for a deduction of freehold title where the transaction is the grant of a lease of **more than 7 years**

LEASES	
Freehold title; Leases >7 years	LL is required to provide title sufficient for absolute leasehold registration
Unregistered freehold	This may prevent the tenant from obtaining absolute leasehold title upon registration
UNDERLEASE	
Freehold title; Leases >7 years	UT entitled to call for freehold title where the underlease is >7 years
Registered headlease	No need to review freehold title

Unregistered headlease	UT is entitled to the headlease and all subsequent assignments for the last 15 years
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(D) PRE-CONTRACT ENQUIRIES AND SEARCHES

- Documents to provide
 - LSS
 - Draft agreement for lease (if applicable)
 - Draft lease/underlease
 - Evidence of freehold/headlease title
 - Copies of relevant planning permissions
 - Evidence of lender's consent to grant the lease/underlease if required
 - TS / UTS
 - Undertake standard searches as for freehold
 - Additional lease-specific enquiries (e.g., reviewing the landlord's insurance policy)
 - Explain the tenant's obligations under the lease/underlease
 - Highlight risks, especially forfeiture for breach of covenant

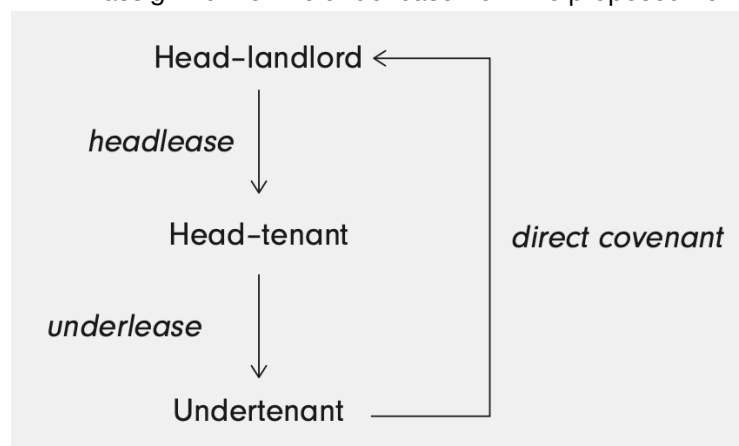
(E) LICENCE TO UNDERLET

- **Requirement for License**

- **Licence to Underlet** = Most HLLs require formal consent for underletting in this form. A **tripartite document** entered into by the HLL, HT and UT.
 - LL's consent / **Licence to Underlet** must be **executed on or before the completion of the underlease**
 - Failure to obtain consent risks breaching the alienation covenant in the headlease

- **Contractual liability**

- **Direct Covenants** = The usual condition of granting consent. **UT** provides a covenant to the **HLL** to **perform covenants in (1) The underlease (2) The headlease (excluding rent payment)**
 - Creates a contractual relationship between the HLL and UT → HLL can sue UT for covenant breaches in either (1) or (2)
 - The HLL needs to obtain a **new direct covenant** on each and every assignment of the underlease from the proposed new UT



- **Key provisions in the licence**

- Consent by HLL to grant the underlease
- Direct covenant from UT to HLL
- Obligation for HT to pay HLL costs for approving the underletting + granting the lease

(F) PRE-COMPLETION FORMALITIES

• Execution of Lease/Underlease

- Two identical parts:
 - (1) **Lease**: Signed by the LL
 - (2) **Counterpart**: Signed by the tenant
 - Both parties exchange signed copies upon completion
- Engrossments
 - Top copies (engrossments) of the lease/underlease and counterpart are prepared for signing
 - LL signs the lease in advance
 - TS sends the **counterpart** to the tenant for execution **at least 5 working days before the completion date** (if **SC8.2.5 / SCPC 11.2.5** apply)
- **Legal requirements**
 - A lease is a legal estate in land → Execution must comply with deed formalities
 - **Must be in writing**
 - **Tenant must sign the counterpart lease in the presence of an independent witness**
 - **Clear on the face it is a deed**
 - **Delivered**

• Rent and payment adjustments

- Advance rent → Rent is typically payable in advance not arrears
- Proportionate rent → If completion does not occur on a rent payment day, the tenant pays a pro-rata amount of rent from the completion date to the next rent payment date

(G) COMPLETION AND POST-COMPLETION STEPS

• Completion

- On completion,

Tenant ⇒ LL	LL ⇒ Tenant
(1) Counterpart lease/underlease : Executed by tenant/UT (2) Premium payable : If applicable, less any deposit paid on exchange of contracts → If no contracts exchanged, there will be no deposit (3) Apportioned rent : Covering the period from the completion date to the next rent payment date	(1) Executed lease/underlease : Executed by the LL (2) Copies of freehold title deeds : Properly marked or certified (for URL) (3) LL's lender consent : Certified copy if applicable (4) For underleases : HLL's consent via a licence to underlet

• SDLT/LTT

- Potentially chargeable components
 - (1) **Premium**: Capital sum being paid. Treated like **freehold consideration** (taxed at SDLT rates for freehold transactions)
 - (2) **Rent**: Calculated using **net present value (NPV)** of rent
 - **NPV** = Working out how much rent is payable in total over the term of the lease (including any VAT) and then discounting rental payments to be made in future years by 3.5% per annum to compensate for the fact that future rent received will have a lower value than rent received today
- **Non-residential property**: SDLT payable on any premium is calculated on the same basis as the consideration on freehold land sale

- **SDLT is chargeable on the VAT inclusive amount of the premium. Check if VAT is chargeable because the landlord has opted to tax the property**

SDLT (NPV of Rent)	
£0 - £150,000	0%
£150,001 - £5,000,000	1%
Over £5,000,000	2%
SDLT1 form and payment must be submitted to HMRC within 14 days of completion	
LTT (NPV of Rent)	
£0 - £225,000	0%
£225,001 - £2,000,000	1%
Over £2,000,000	2%
LTT return and payment must be submitted to the Welsh Revenue Authority within 30 days of completion	
Note: The 0% band for premiums extending to 225,000 is not available if the 'relevant rent' exceeds £13,500 . The 1% band applies instead. Relevant rent = The highest rent payable in any year across the entire term of the lease	

- **Registration**

- **Leases for ≤7 years:**

- Cannot be registered with a separate title
- **RL: Overriding interest** under **LRA 2002**, REGARDLESS of tenant's actual occupation
 - Possible to **note** against the landlord's title for leases **>3 years**
- **URL:** Legal lease is binding on all subsequent owners **IRRESPECTIVE** of notice

- **Leases for >7 years**

- Registrable with its own title number, regardless of whether freehold is registered.
- **RL:** Application for registration of dealing within the priority period of the **OS1 search result**
- **URL:** Application for first registration (**within 2 months** of completion of the grant of the lease)

- **Title classifications on registration**

- **(A) Absolute leasehold:** Full guarantee of lease validity
- **(B) Good leasehold:** Awarded where the Registrar is satisfied that the leasehold title is sound but, having no access to the superior title, they are not prepared to guarantee the lease against defects in the freehold title/that the freeholder has a right to grant the lease
 - Situations where good leasehold is awarded:
 - (i) The freehold is unregistered + The applicant doesn't provide the freehold title as part of the leasehold registration
OR
 - (ii) Freehold title provided is less than absolute

- May be considered a defect as it could affect resale or mortgageability
- (C) Possessory leasehold
- (D) Qualified leasehold

8. PROCEDURAL STEPS FOR THE ASSIGNMENT OF A LEASE

(A) OVERVIEW OF THE CONVEYANCING PROCEDURE FOR THE ASSIGNMENT OF A LEASE

- Key differences between Assignments and Freehold Sales
 - **Existence of the lease:** A2S must review the lease terms to ensure they meet A2's requirements
 - **For short-term leases:** A2s might skip some steps such as title investigation but these notes assumes full DD
 - **LL's consent:** Almost always required for commercial property leases
 - **Premiums:** Generally not applicable where the tenant pays market rent. If payable, it is usually a small amount compared to freehold transactions.

CONVEYANCING PROCEDURE: ASSIGNMENT OF A LEASE

A1s Solicitor	Both Solicitors	A2's Solicitor
Pre-contract stage		
Takes instructions from seller		Takes instructions
Investigate title		
Prepare pre-contract package: • Draft contract • Evidence of leasehold title (COPIES) • Possible landlord's reversionary title • Lease (COPIES)		Liaise with A1 to obtain details the LL will need to consider
Apply for LL's consent to the assignment + Provide undertaking for landlord's costs		Raise pre-contract S/E
		Investigate title (leasehold + possibly LL's reversionary title)
		Consider lease
		Approve draft contract
	Exchange contracts	
Pre-completion stage		

Approve purchase/transfer deed		Draft the purchase/transfer deed of assignment
Prepare for completion		Raise pre-completion S/E (possibly including searches against LL's reversionary title)
Prepare for completion		Prepare for completion
	Agree form of Licence to Assign with the LL	
	Complete transaction (including the completion of a Licence to Assign)	
Post-completion stage		
Post-completion matters (comply with any undertakings given on completion)		Post-completion matters (including paying SDLT/LTT and registering the assignment with the LL)

(B) LANDLORD'S CONSENT

- **Requirement for LL's Consent to Assign**
 - Common provision in commercial leases
 - A1's responsibility:
 - Apply for consent
 - Use all reasonable efforts to obtain it
 - Collaborate with A2 and LL throughout the process
 - **Licence to Assign** = Consent is typically formalised in a licence to assign, finalised by completion
- **Pre-exchange considerations**
 - A1 must ensure the LL agrees in principle before exchange
 - LL may require references to assess A2's financial stability → Current landlord, bank, employer, accountant, solicitor, or trade references
 - For companies / self-employed / partnership → 3 years' audited accounts
- **Legal costs undertaking**
 - LLS may request an undertaking from A1S for legal/professional fees incurred:
 - Considering the proposed assignment
 - Preparing the Licence to Assign
 - A1S should:
 - Obtain client authority for the undertaking
 - Ensure costs are reasonable and ideally capped
 - Secure funds on account from A1 before providing the undertaking
- **Conditions for LL's consent**
 - Guarantor from A2
 - AGA from A1 to guarantee A2's compliance with tenant covenants
 - Premium payments (uncommon, unless explicitly stated in lease)
- **Timing of consent**
 - LL's consent must be **obtained by or on completion** to avoid breaching the lease's assignment covenant
 - **Under SCs**
 - **Either party may rescind the contract if**

- Consent is not obtained **3 working days before completion**, OR
 - By that time, consent is subject to an unreasonable condition for A2, who rejects it
- **Under SCPCs**
 - If consent is not obtained by the completion date, completion is postponed until **5 working days** after A1 notifies A2 of consent
 - Rescission allowed only **after 6 months** from the original completion date. Either party can rescind by serving notice on the other.
 - Best practice: Exchange contracts only after the LL's consent is obtained when timing is critical

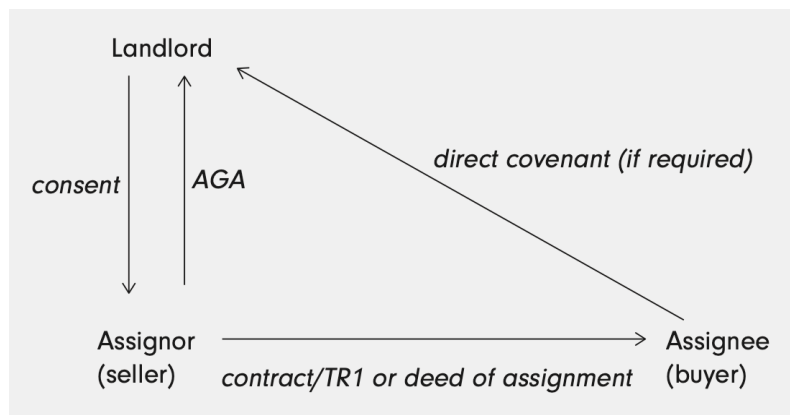
(C) LICENCE TO ASSIGN

- **Purpose of a LoA**
 - **Licence to Assign** = Tripartite document which allows the LL to give formal consent to the assignment of a lease from A1 to A2
 - Assignment without the licence risks:
 - Breach of tenant's alienation covenants
 - A1 remaining liable for tenant covenants in certain circumstances
 - Potential forfeiture of the lease
 - Drafting and parties involved
 - Drafted by LLS and reviewed by A1S and A2S
 - Parties to the LoA:
 - LL, A1 and A2 (all three if A1/A2 enters into covenants)
 - Any **guarantors** of A1/A2
 - **Licence must be executed as a deed**
 - Often prepared in triplicate, so each party retains a signed and dated copy (includes any guarantors)
- **Key provisions in the LoA**
 - **(a) Consent to assign**
 - Granted by the LL to A1 to assign the lease to A2
 - Typically time limited to account for potential changes in A2's financial circumstances
 - **(b1) AGA**
 - For **new leases** (granted **on/after 1 Jan 1996**), A1 typically provides an AGA
 - **(b2) Direct covenant by A2**
 - For **old leases** (granted **before 1 Jan 1996**), A2 agrees to observe and perform covenants in the lease for the remainder of the term
 - **(c) Legal and professional costs**
 - A1 agrees to pay LL's **reasonable** costs associated with granting the licence
- **Contractual Liability**
 - **Old leases (before 1 Jan 1996)**
 - A1 and A2 are bound by the **doctrine of privity of estate** = A2 is liable for all covenants that 'touch and concern' the land **ONLY while holding the lease**
 - **LL often requires a direct covenant from A2 for the remainder of the term to create a privity of contract**
 - **New leases (on or after 1 Jan 1996)**
 - Liability is for **all covenants** (not just those affecting the land) during the period of time that the lease is vested in A2
 - Upon future assignment, A2 is **automatically released** from liability from all tenant covenants under the **LTA Act 1995**
 - If LL requires direct covenant from A2, this covenant should be **limited to the period that A2 is actually the tenant**
 - LL may require A1 to enter into a AGA to compensate for the loss of long-term privity of contract

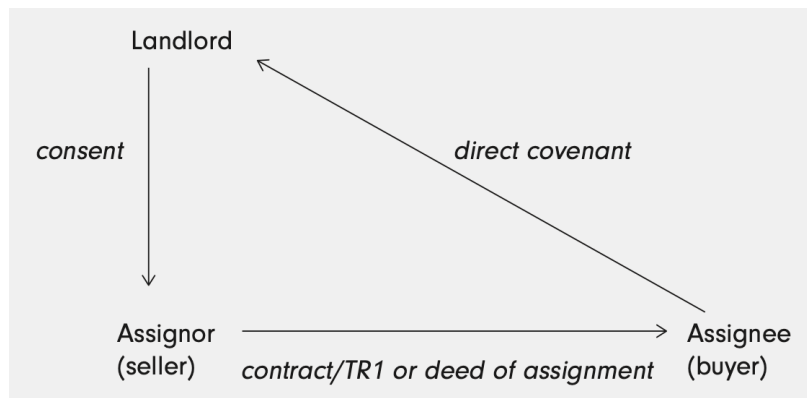
- **Authorised Guarantee Agreement (AGA)**

- Relevant only for new leases (on/after **1 Jan 1996**)
- May be a precondition in the lease to giving consent to assignment
 - If it is in the lease, LL can insist on AGA even where unreasonable
 - **If it is not in the lease, LL can insist on AGA only if reasonable**
- **Typical provisions:**
 - (1) A1 guarantees A2's performance of tenant covenants (including rent payments)
 - (2) **A1 promises to perform covenants if A2 defaults**
 - (3) A1 **indemnifies** LL for A2's breach
 - (4) **A1 promises to take a new lease** if A2's liability is disclaimed due to insolvency
- **A1's liability under the AGA ends when A2 is released from liability upon a subsequent assignment**

- **ASSIGNMENT OF A NEW LEASE**



- **ASSIGNMENT OF AN OLD LEASE**



(D) DEDUCTION AND INVESTIGATION OF TITLE

- **General title investigation**

- A1S investigates title as for a freehold transaction
- Both the leasehold + superior freehold title should be checked to identify
 - Covenants
 - Easements
 - Incumbrances affecting the freehold that binds the leasehold
- Any issues should be disclosed in the draft contract

- **Documentation for A2S from A1S**

- (1) A copy of the lease
- (2) Licenses permitting assignments to current or previous tenants

- **Deducing superior freehold title**

- **(A) Registered lease + Absolute title**

- Leasehold title is guaranteed by LR
- **NO NEED TO DEDUCE FREEHOLD TITLE**
- A1S will be able to obtain and provide A2 with official copies of the register + title plan in the usual way

○ (B) Registered lease + Good leasehold title

- No guarantee of freehold title's soundness
- A2 may insist on deduction of freehold title for security
 - Registered freehold → Conduct a search under open register rules
 - Unregistered freehold → Deduce title using methods for URL
- ★ **Use special conditions to address deduction of freehold title as SC/SCPC do not require it**

○ (C) Unregistered lease

- **A2 is entitled to call for:**
 - (1) The lease
 - (2) All assignments during the **last 15 years**
 - **BUT NOT the evidence of the freehold title**
- Freehold title deduction is not automatically required under general law, but may be necessary for good leasehold title on registration
 - Registered freehold → Conduct a search under open register rules
 - Unregistered freehold → Deduce title using methods for URL
- ★ **Use special conditions to address deduction of freehold title as SC/SCPC do not require it**

● Registration implications

- Without freehold title deduction, A2 may obtain only good leasehold title, which may be unacceptable to A2 or lenders
- A2S needs to check the lease terms to ensure they are acceptable to A2/Lender
- Key lease terms to look out for:
 - Residual term length
 - Permitted user clause
 - Rent amount and review terms
 - Whether the LL's consent to assignment is required.

(E) PRE-CONTRACT ENQUIRIES/SEARCHES

- General searches
 - A2S conducts the same S/E as for a freehold purchase
 - Additional enquiries specific to the lease:
 - (i) Review **insurance policy** and **receipt for the last insurance premium** to ensure compliance
 - (ii) Request **receipt of last payment of annual rent** to confirm that A1 has fulfilled rent obligations
 - (iii) Outstanding **breaches** of lease covenants, which may become enforceable against A2 upon completion
- Short-term leases
 - If the lease has a short unexpired term, A2 may skip certain searches to reduce costs due to lower risks

(F) DEED OF ASSIGNMENT AND COVENANTS FOR TITLE

● Deed of Assignment

- **Purpose** = Legal title to the lease is transferred via the deed of assignment, equivalent to a transfer deed in other land transactions
 - A2S typically prepares the deed
- Format:
 - Registered lease → **Form TR1** under **Land Registration Rules 2003**
 - Unregistered lease →
 - **Leases >7 years: Form TR1**, as it triggers compulsory first registration

- **Leases ≤7 years:** Custom deed of assignment is used (similar to conveyance)

• Covenants for title

- **Implied Covenants:** If A1 gives full / limited title guarantee, it implies they have complied with all tenant covenants, including repair obligations
 - BUT Caveat emptor (buyer beware) places responsibility on the A1 to inspect the property's condition
 - **SOLUTION:** To avoid liability for breach of repair covenants, A1 should expressly modify implied covenants for title in the transfer deed itself to **exclude repair obligations**
- Example:
 - "The covenants set out in **section 4 of the Law of Property (Miscellaneous Provisions) Act 1994** will not extend to any breach of the tenant's covenants in the lease relating to the physical state of the property."
 - ⇒ Include this wording in **PANEL 9 or 11** of **TR1**
 - ⇒ The effect of this clause is that A1 cannot be sued by A2 for any breach of the repair covenants or other covenants relating to the physical state of the property
- **Effect of AGA:** The **TR1** should contain an indemnity from A2 to A1 to observe and perform the covenants in the lease because A1 will continue to be liable to the landlord if there is a breach after the assignment has taken place. **LT(C)A** will automatically release A1 from all the tenant covenants of the tenancy on completion of the assignment, but A1 will **become liable under the terms of an AGA** instead.

• Indemnity

- **Old leases (before 1 Jan 1996):**
 - **An implied indemnity covenant from A2 to A1 exists**
 - UNLESS for unregistered leases, value is not given by A2 for the transaction
 - **SC/SCPC:** In this case, an express indemnity covenant will be inserted into the transfer deed if required by the contract
- **New leases (on/after 1 Jan 1996):**
 - A1 is typically released from future liability on assignment
 - If A1 remains liable (e.g. under an AGA), include an express indemnity covenant in the deed
 - **SC/SCPC:** **Entitles A1 to include an indemnity where A1 will remain liable after completion**

(G) PRE-COMPLETION FORMALITIES

• Pre-completion S/E

Registered lease	Conduct OS1 search of the leasehold title register to: • Check for new entries • Secure a priority period for registering the transfer • Ensure the 30 working day priority period covers completion
Unregistered lease	Conduct a LCD search against A1's name to: • Identify any adverse entries since the pre-exchange search • Ensure the 15 working day priority period covers completion
Company search	Relevant where A1/A2 is a company, to check for insolvency or other issues

- **The LoA**

- Prepared by LLS: Engrossments (top copies) of LoA, which MUST be by **DEED** if the **LoA** contains covenants
 - **Direct covenant from A2 to LL:** **LoA** will be drawn up in at least 2 parts,
 - (i) **LL executes original LoA** which will be given to A2 on completion to transmit to A1
 - (ii) **A2 executes the counterpart** which will be given to LL to take effect on completion
 - **AGA from A1 to LL:** Can be included in the LoA, which requires a third part. Or the AGA can be created as a separate deed, in either case to take effect on completion

- **Apportionments**

- Rent paid in advance by A1 must be apportioned for A2 to reimburse A1 for the period after completion until the next rent day
- **Completion statement** prepared by A1 detailing rent and other outgoings (such as insurance premiums)
 - Copies of receipts should be provided for verification with the completion statement

(H) COMPLETION

A1's deliverables	A2's deliverables
Documents: • Lease • Transfer deed (TR1/deed of assignment) • LoA (executed by LL) • Evidence of freehold title (if required) • Insurance policy and receipts (or copies if LL arranges insurance) • Receipts for rent and outgoings to support apportionments	Documents: • LoA (executed counterpart) • Release of deposit if applicable
Evidence: • Discharge of A1's mortgage • Duplicate notices served on LL by current or previous tenants	Payments: • Purchase price • Apportioned sums as per the completion statement

- **s.45(2) LPA 1925 → Receipt for the last rent payment implies that (i) rent has been paid and (ii) lease covenants have been performed unless proven otherwise**
 - A2S should inspect the receipt on completion

(I) POST-COMPLETION STEPS

- **SDLT/LTT**

- **Payable only on the purchase** (if charged by A1)
- Rent already taxed as the grant of lease
- Follow the same procedure as for freehold land sales

- **Registered lease**

- **Registration application:** Must be submitted within the **OS1 search priority period**
- Lease registration continues until it expires, irrespective of remaining term

- **Unregistered lease**

- **Leases with >7 years remaining:** MUST be registered **within 2 months** of assignment, otherwise there is a risk of becoming void

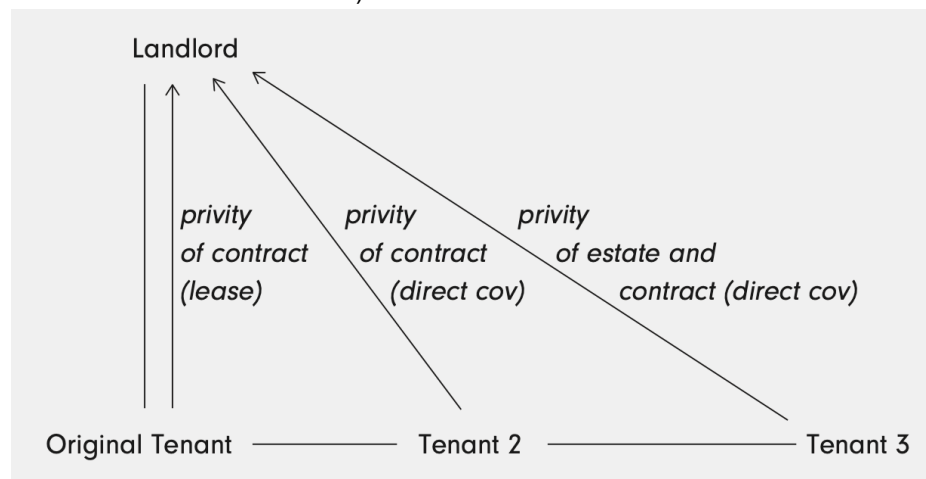
- Apply for absolute leasehold title with **proper evidence** of superior title. Otherwise, only a good leasehold title is granted
 - **Registered freehold:** Lease noted against the freehold title
 - **Unregistered freehold:** **Caution against first registration** to protect A2's interest
- **Leases with ≤ 7 years remaining:** Incapable of registration with separate title
- **Notice of assignment**
 - If required by the lease
 - Serve **notice** to the LL in duplicate with the specified fee
 - Request LL's signature on one copy as an acknowledgement of receipt

9. REMEDIES FOR BREACH OF LEASEHOLD COVENANTS

(A) LIABILITY ON COVENANTS IN LEASES

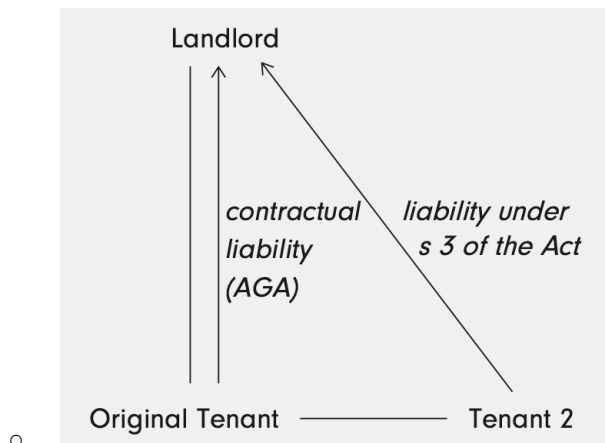
- **Old leases (before 1 Jan 1996)**

- **Privity of contract** = A1 remains liable for all lease covenants for the entire lease, even after assignment. LL can enforce obligations against original tenant
 - **Direct Covenants** = LL often require A2 to provide direct covenants during assignment, which **allow LL to pursue A2 even after the lease is assigned again**
- **Privity of estate** = Current tenant is liable for covenants while the lease is vested in them
- **LL has a strong position:** Multiple avenues of enforcement (A1, A2, intervening tenants with direct covenants)

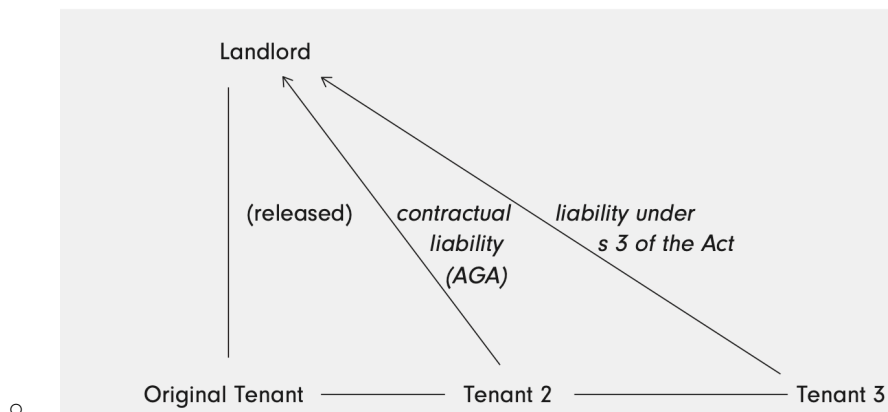


- **New leases (on/after 1 Jan 1996)**

- **Landlord and Tenant (Covenants) Act 1995** → Replaces privity of contract with statutory rules
 - **S.3 LT(C)A 1995:** When A1 assigns the property, A2 takes on the obligations. Covenants transfer when the property or ownership is assigned, fully or partially
- **Release of liability:** **A1 is automatically released from liability** upon assigning the lease. LL cannot sue the original tenant once the lease is assigned
- **SOLUTION: AGA** = Landlord can require A1 to provide AGAs as a condition for the assignment, which binds A1 to guarantee performance by the immediate A2
 - **BUT AGAs only last for the duration of A2's ownership of the lease** and so when A2 assigns the lease onto A3, A1 will be released from the AGA.
 - A2 who wants to assign will then need to give an AGA to the LL on assignment
- **LL has a weaker position:** Weaker compared to old leases due to the automatic release of outgoing tenants. AGAs provide limited compensation for loss of privity of contract as they only apply to the immediate A2



Release of tenant under a new lease



(B) REMEDIES FOR BREACH OF THE COVENANT TO PAY RENT

• Considerations

- (1) LL must first confirm the existence of a rent covenant in the lease and a breach
- (2) Consider the appropriate remedy depending on
 - The tenant's financial position
 - Cost and time involved in enforcement
 - Risk of future breaches
 - Impact of LL-tenant relationship
 - Terms of the lease
 - LL's objectives

Remedy for breaches of RENT covenants	Details
(1) Actions in debt	• Definition: Rent arrears are recoverable through the High Court or County Court • Time limit: 6 years to recover rent under the Limitation Act 1980 • Suitability: Effective if the tenant/guarantor has sufficient funds to pay the arrears

(2) Commercial Rent Arrears Recovery (CRAR)	● Definition: Allows LL to enter the property, seize and sell tenant's goods to recover unpaid rent ● Restrictions: ○ Only applies to commercial leases ○ Only applies to rent for possession and use of premises. Arrears of other payments (such as insurance rent) will not be recoverable using CRAR, even if they are reserved as rent in the lease. ○ Minimum 7 days' rent must be outstanding ○ Requires 7 days' written notice before enforcement ○ CANNOT seize essential business items worth up to £1,350 OR leased goods ● Procedure: ○ LL MUST use an enforcement agency to enter the premises and remove goods ○ Goods can be sold via public auction with at least 7 clear days' notice to the tenant of the sale ● Suitability: Limited if tenant owns few valuable goods
(3) Pursue guarantors and/or rent deposits	(a) Guarantors ● Note: Guarantee must be in writing ● LL can pursue: ○ (a) Current tenant's guarantor: Liable for arrears and covenant breaches ■ A guarantor of the current tenant may be sued in the same way as the current tenant. ○ (b) Former tenant's guarantor: Limited by LT(C)A 1995 ■ Requires a s.17 default notice to be served to tenant's guarantor within 6 months of the breach if LL intends to recover a 'fixed charge' from them (monetary payment) ● S.17 LT(C)A 1995 applies to ALL leases whenever granted, not just new leases ■ The former tenant/guarantor may be able to regain some control over the property → Pay sum demanded in the default notice + Call for an overriding lease ● Overriding lease = An overriding lease is a new lease granted by the LL to a former tenant or guarantor after that person has paid sums due under a default notice for the current tenant's breach of covenant. ● Gives the paying party a lease of the same premises, for the same term as the defaulting tenant's lease, but subject to the existing tenant's lease ■ Old leases vs New leases ● Old lease: Liability of guarantor is likely to extend through the duration of the lease regardless of any assignment ○ → no need for s.17 notice ● New lease: Liability of guarantor is released on an assignment. Any attempt

	by LL to require the guarantor to guarantee the new tenant is likely to be void ○ → likely requires a s.17 notice (b) Rent Deposits ● Definition: Allows LL to recover arrears immediately without court action if the tenant breaches the lease by withdrawing money from the rent deposit ○ Deposit is generally 6-12 months' rent due under the lease ○ Withdrawal terms will be set out in a rent deposit deed ○ Deposit terms typically require the tenant to top up the deposit after deductions ○ The deed would also normally state that the rent deposit balance is returned to the tenant at the end of the term or on an earlier lawful assignment. ● Suitability: Useful if the tenant's financial position is precarious (c) Current subtenants ● S.81 Tribunals Courts and Enforcement Act 2007 → Allows HLL to serve notice on UTs asking them after 14 clear days have expired to divert future rent under the sublease directly to the HLL until the tenant's arrears are paid off
(4) Forfeiture	● Definition: Terminates the lease, allowing LL to regain possession ● Requirements: Lease must contain a forfeiture clause and LL must comply with any conditions specified in the clause ○ Forfeiture clauses are not always labelled as forfeiture clauses and can have other headings, such as 'provisos' or 're-entry' ■ Example: <i>"then in any of those cases the landlord may at any time (notwithstanding the waiver of any previous right of re- entry) re- enter the building or any part in the name of the whole whereupon the term will end"</i> ○ Common law requires a formal demand to be made, but the lease can dispense with this ○ NOTE: s.146 notice is not required where the breach is non-payment of rent, but it is required when the breach is of anything else ● Methods: ○ (a) Commercial property: Peaceable re-entry / court order for permission ○ (b) Residential (whole/part) and Tenant remains in occupation: Court order is mandatory (s.2 PEA 1977) ● Tenant's right to relief from forfeiture: Tenant may apply to court to reinstate the lease if arrears and costs are paid ○ Clean hands are required ○ Relief may be granted if the tenant ■ (a) Pays arrears and costs before trial in case of possession proceedings ■ (b) Applies for relief within 6 months after re-entry under a court order (discretionary) ● UNLESS LL forfeits a commercial lease by re-entry without court proceedings → 6

	month time limit does not apply. Court can exercise discretion to grant relief any time ■ (c) Tenant has not been in breach before and the problem is unlikely to be repeated ● <i>Example: Where a tenant's problems are caused by an administrative error by its bank and the tenant has not been in breach of covenant before</i> ● Waiver of right: LL risks waiving forfeiture by demanding or accepting rent after the breach, or doing anything else to affirm the LL-tenant relationship (such as issuing a consent under the lease) ● Suitability: Effective for long-term arrears or unviable tenants. ○ BUT May result in vacant property, leading to financial losses ○ S.2 Protection from Eviction Act 1977 → May prohibit taking physical possession of premises occupied as a residence
(5) Bankruptcy	If the tenant is an individual, the debt must exceed £5000

(C) REMEDIES FOR BREACH OF COVENANT TO REPAIR

- **Considerations**
 - (1) Establish a breach of the repair covenant based on
 - The nature of the damage
 - The precise wording of the repair covenant
 - (2) Assess available remedies based on LL's objectives, financial implications, and tenant solvency

Remedy for breaches of REPAIR covenants	Details
(1) Specific performance	● Definition: Equitable remedy forcing the tenant to comply with the repair covenant ● Conditions for grant (court's discretion): ○ Damages or other remedies are not suitable/adequate ○ No forfeiture/self-help clause in the lease ○ Appropriate to grant applicant an order of specific performance ○ Court is sure that the order is not being sought to harass or pressure tenant ● Limitations: ○ Time-consuming and costly ○ Rarely granted unless necessary
(2) Damages	● Basis: Damages are <u>always available</u> for breach of covenant ● Limitations on recovering the full cost of repairs: ○ S.18 LTA 1927: Damages are capped at the <u>diminution in the value of the LL's reversionary value</u>, often less than repair costs ○ Leasehold Property (Repairs) Act 1938:

	■ Applies to leases of 7+ years with 3+ years unexpired ■ If the Act applies and the LL wants to sue for damages, LL must follow a special procedure ● (i) LL must serve notice to tenant before suing for damages ● (ii) Tenant may serve a counter-notice within 28 days ● (iii) If tenant serves counter-notice, LL cannot proceed any further with the claim without court permission ● Suitability: Useful for recovering monetary compensation when tenant is solvent
(3) Self-help / Jervis v Harris clause	● Definition: Contractual remedy, allowing the LL to ○ (i) Enter the premises to carry out repairs ○ (ii) Recover costs as a DEBT (not damages), avoiding statutory cap (s.18 LTA 1927) ● Procedure: ○ (1) LL serves notice specifying repairs ○ (2) Tenant is given a deadline to start/complete repairs ○ (3) If tenant fails, LL can enter, repair and claim costs
(4) Forfeiture	● Definition: Terminates the lease and enables LL to regain possession ● Requirements: Lease must contain a forfeiture clause and LL must comply with any conditions specified in the clause ● Procedure: ○ (1) Serve a s.146 notice (s.146 LPA 1925) specifying ■ (i) Breach details ■ (ii) Remedial actions required within a reasonable time ● Breach of covenant (against alienation, etc.) is not capable of remedy, so the notice does not need to include a reasonable time for remedy ● If the tenant remedies the breach within the specified time, forfeiture does not occur ■ (iii) Compensation payable ○ (2) If applicable, comply with Leasehold Property (Repairs) Act 1938: ■ For leases of 7+ years with 3+ years unexpired: ● (i) LL must serve notice to tenant notifying them of their right to serve a counter-notice within 28 days ● (ii) If tenant serves counter-notice, LL cannot proceed any further with the claim without court permission ○ (3) Forfeit via ■ (a) Commercial property: Peaceable re-entry or court order for permission

	■ (b) Residential (whole/part) and Tenant remains in occupation: Court order is mandatory (s.2 PEA 1977) ● Tenant relief: Tenant may apply for relief, reinstating lease upon remedying the breach ○ Clean hands are required ○ s.146(4) LPA → UT may also apply for relief from forfeiture of a head lease even if the HT cannot ■ Court will vest the head lease in the UT and on such terms as to rent, costs and damages as the court thinks fit ● Suitability: Effective for removing uncooperative or financially distressed tenants ○ BUT risk of market conditions leaving property vacant ○ s.168 Commonhold and Leasehold Reform Act 2002 → Prevents a LL from serving an effective S.146 notice in respect of any breach by a tenant under a long lease of a covenant or condition unless either ■ (i) the tenant has admitted the breach or ■ (ii) it has been finally determined that the breach has occurred by the appropriate tribunal, a court or an arbitral tribunal ■ Long lease = Term exceeding 21 years, or leases that have been renewed by LTA 54 / Local Government and Housing Act 1989 ● Shared lease is a long lease if the leaseholder owns 100% of the lease
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(D) REMEDIES FOR BREACH OF OTHER COVENANTS

● (1) Forfeiture

- **Procedure:** Serve a **s.146 notice (LPA 1925)**.
 - **Unlike repair-related breaches, the notice does not need to include the tenant's right to serve a counter-notice.**
- **Applicability:** Suitable for serious breaches that justify ending the tenancy relationship.

● (2) Injunction

- **Definition:** A court order to prevent an ongoing or anticipated breach, particularly for breaches of **RCs**.
- Use Cases:
 - Breach of a user covenant
 - Unauthorized alterations.
 - Attempted assignments/subleases without LL consent.

● (3) Specific performance

- **Definition:** Court-ordered enforcement of a positive covenant.
- **Conditions for Grant:**
 - Obligation must be sufficiently precise.
 - Enforcement does not require ongoing supervision.
 - Damages are inadequate as a remedy.

● (4) Damages

- **Definition:** Financial compensation for losses incurred due to the tenant's breach.
- **Basis:** Standard contractual rules apply.

● (5) Pursuing former tenants/guarantors

- **Applicability:** Where liability extends to former tenants or their guarantors under:
 - Old leases (pre-1996) via privity of contract
 - New leases (post-1996) through AGAs or other direct covenants

- **(6) Deduction from rent deposit**

- **Definition:** Withdrawing funds from the tenant's rent deposit to cover costs or losses resulting from the breach
- **Conditions:** **The rent deposit deed must explicitly allow** deductions for breaches.

(E) SURRENDER OF THE LEASE

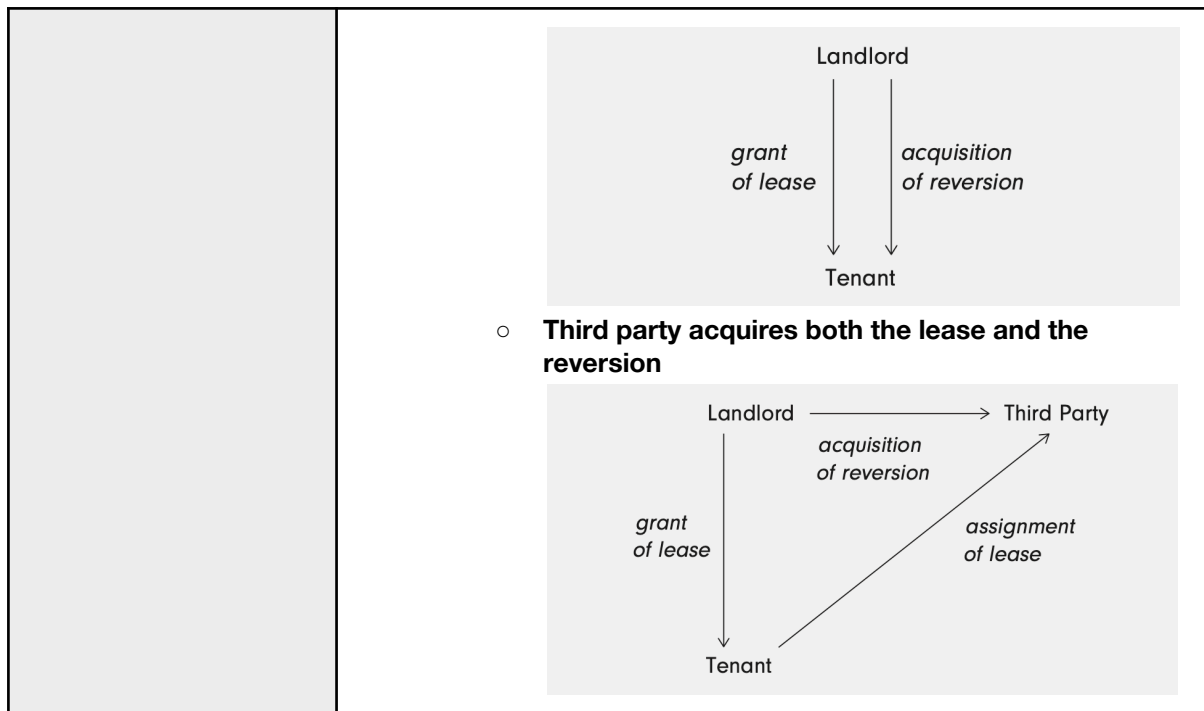
- **Definition: A mutual agreement between LL and tenant to terminate the lease**

- Can be informal or formalized by a deed of surrender
 - **Deed of surrender** = Should address any arrears/outstanding breaches, and the condition in which the property will be returned
- Both parties must agree to the surrender

10. LEASE TERMINATION AND SECURITY OF TENURE UNDER LTA 1954

(A) TERMINATION OF LEASES AT COMMON LAW

Method of termination	Details
(1) Effluxion of time	Definition: The lease ends automatically at the conclusion of its fixed term without requiring notice
(2) Notice to quit	• Applicability: Used to terminate periodic tenancies • Requirements: Notice period must align with the tenancy period ○ Yearly tenancy: At least 6 months' notice ending at the end of a completed year ○ Other periodic tenancies: A full period's notice, expiring at the end of a completed tenancy period ■ <i>Example: For a monthly tenancy starting on the 1st of each month, a notice served on 14 August would expire on 30 September</i>
(3) Surrender	• Definition: The tenant voluntarily gives up the lease to LL, who accepts it • Legal requirements: ○ 1. Surrender must be mutual ○ 2. Surrender must be executed by DEED (s.52 LPA 1925) • Effect: The lease <u>merges</u> with LL's reversionary interest and ceases to exist ○ Does not terminate the <u>interest</u> of UTs (even if the rights of UT were unknown to LL)
(4) Merger	• Definition: Occurs when the tenant acquires the immediate reversionary interest (LL's estate in the property). The opposite of surrender • Legal implications: The lease merges with the reversion and is extinguished unless explicitly preserved in the transfer documentation • Ways it happens ○ Tenant purchases the LL's interest



(B) THE 1954 ACT

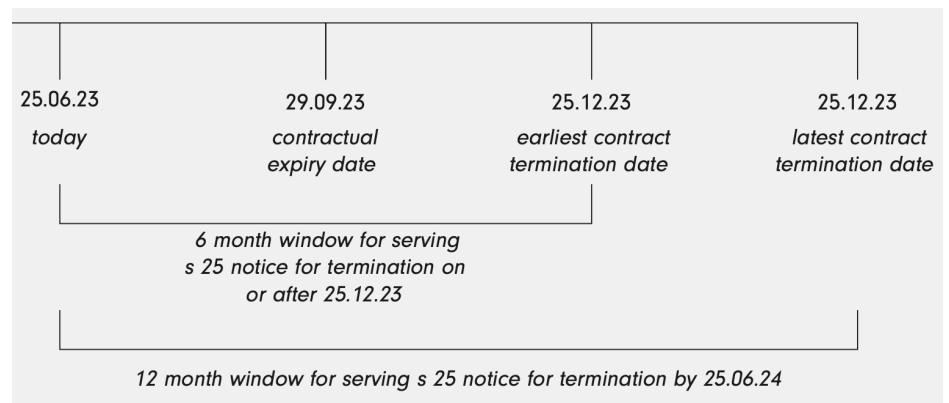
- **Application of the 1954 Act**
 - **LTA 54** = Provides statutory protection to business tenants. Tenancies do not automatically terminate at the end of the fixed term / notice to quit, but must be **ended/renewed** following its provisions
 - **Conditions for LTA 54 to apply:**
 - (1) **Tenancy (not license)**
 - (2) **Occupation by the tenant (or agent/manager)**
 - (3) **Business purposes:** The premises must be used wholly/partly for business purposes (trades, professions, clubs, etc.)
 - **Exclusions from LTA 54**
 - (a) **Tenancies at will**
 - Can be terminated at any time
 - (b) **Fixed-term tenancies ≤ 6 months**
 - LEASE MIGHT STILL BE PROTECTED IF:
 - (a) The tenant/predecessor has been in occupation for **more than 12 months**, OR
 - (b) The lease includes a provision **allowing renewal/extension** beyond 6 months
 - (c) **Specific types of leases**
 - Agricultural holdings
 - Farm business tenancies
 - Mining leases
 - (d) **Contracted-out tenancies**
 - Parties agree to exclude the LTA 54's protection by following the **statutory contracting-out procedure:**
 - (i) Serving a **notice in prescribed form** to the tenant before the lease is granted, warning them that they are agreeing to a lease without security of tenure + Advising them to obtain **professional advice**
 - The lease should be granted **at least 14 days after the tenant receives the notice**

- If the tenant is given the notice **less than 14 days** before the grant of the lease, the tenant's declaration must be made in the form a **statutory declaration before an independent solicitor**
 - (ii) Tenant signs a **declaration in a prescribed form** acknowledging receipt of notice
 - (iii) A reference to the service of notice + tenant's declaration **must be contained/endorsed on the lease** itself
- **Effect of the 1954 Act**
 - **S.24 LTA 1954: Protected business tenancies cannot come to an end unless terminated in accordance with the Act on s.30 grounds**
 - Even after termination, tenants may apply for a new lease, and **LL can only oppose renewal on one of the 7 statutory s.30 grounds**

Termination methods (s.30(1) LTA 1954)	
(1) Landlord's s.25 Notice	See below
(2) Tenant's s.26 Request	See below
(3) Forfeiture: Due to tenant's default	Only if tenant breaches covenants and LL follows legal process (s.146 notice)
(4) Surrender: By mutual agreement	Requires mutual agreement between LL and tenant
(5) Periodic tenancy: Tenant's notice to quit	
(6) Fixed-term lease: Tenant's s.27 notice	● S.27 LTA 1954: Tenant can serve a s.27 notice with at least 3 months' written notice to the LL to end the lease on/after contractual expiry date ● Purpose: To end the statutory continuation of the tenancy ● If the tenant <u>wholly vacates</u> the property <u>before</u> the contractual expiry date, no need to serve s.27 notice.
(7) Fixed-term lease: Tenant ceasing to be in occupation for business purposes (s.27(1A))	s.27(1A) LTA 1954: Enables the tenancy to end by effluxion of time where the tenant ceases to be in occupation for business purposes at the end of the lease

- **Limitations on Landlords**
 - **No notice to quit:** LLs cannot terminate a periodic tenancy by serving notice to quit, but tenants can
 - **No right to end fixed term lease (s.27):** LLs cannot terminate a fixed-term tenancy unless forfeiture grounds exist or surrender is mutually agreed.
- **(1) Termination by the landlord (s.25 notice)**
 - **S.25 LTA 54 → Can be used by LL to terminate either a fixed-term/periodic business tenancy, but LL must comply with specific procedural requirements**
 - **Procedure:**
 - **(1) LL must serve a **s.25 notice** on tenant**
 - Ends the current lease: The notice terminates the existing tenancy
 - Specifies intentions: LL must state whether they

- (i) **Do not oppose renewal:** Propose new lease terms
- (ii) **Oppose renewal:** Provide statutory grounds under s.30
- **(2) Contents of a s.25 notice**
 - (i) **Termination date:** Must comply with time limits
 - Cannot be earlier than the lease's contractual end date under common law
 - Period tenancies: The date must align with the periodic tenancy's cycle
 - (ii) **Proposal for new leases** (if renewal is not opposed): The terms on which the LL proposes to renew the lease
OR
 - (iii) **Grounds for opposition** (if renewal is opposed): LL must specify one or more of the s.30 grounds
- **(3) Comply with time limits**
 - **Earliest service:** **12 months before** the proposed termination date
 - **Latest service:** **6 months** before the proposed termination date
 - **Termination date:** **Must be at least 6 months after the notice is served and no more than 12 months later**
 - *Example: A lease ends on 29 September 2023.*
 - Earliest service of s.25 notice: 29 September 2022.
 - Latest service: 29 March 2023.
 - Termination date specified: 29 September 2023.
 - *Example: If it is 25/6/2023 and the lease has not yet been terminated:*
 - Earliest possible termination date: 25/12/2023 (6 months from notice).
 - Latest possible termination date: 25/6/2024 (12 months from notice)
 - If a s.25 notice is served on 25/6/2023, the termination date must be between 25/12/2023 and 25/6/2024

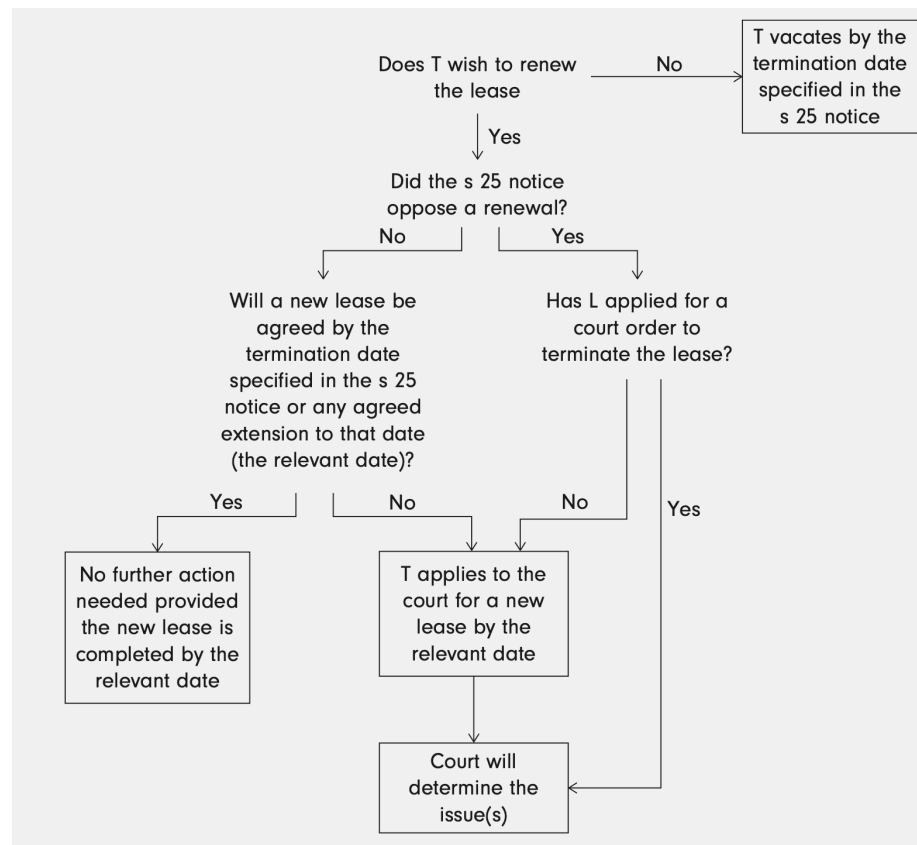


- **Application to the court following service of a s.25 notice**
 - If LL opposes renewal:
 - **Tenant MUST apply to the court (usually County Court) for a new tenancy before expiry of the s.25 notice (the termination date in the notice), otherwise tenant loses their rights under LTA 54**
 - LL can preempt the tenant by applying to the court for an order to terminate the tenancy based on s.30 grounds stated in the notice
 - BUT LL **cannot** make this application if the tenant has **already applied** to the court for a new tenancy
 - If LL does not oppose renewal:

- LL and the tenant will negotiate the terms of the new lease following the s.25 notice.
 - LL's proposals for the new lease must be stated in the notice
 - Tenant's safeguard: Even if negotiations are ongoing, the tenant should still apply to court within the time limit to protect their rights under the Act.
- Extending the time limit:
- The time limit for the tenant to apply to court is tied to the expiry of the s.25 notice (the termination date stated)
 - Can be extended if both parties agree

■ **PRACTICAL STEPS**

1. Tenant's application	If renewal is opposed, the tenant should file an application for a new tenancy with the County Court. This safeguards their position under the Act
2. LL's pre-emption	If the LL opposes renewal, it can file its own application for termination based on the stated s.30 grounds UNLESS the tenant has already applied for renewal.
3. Negotiated resolution	Where renewal is not opposed, both parties should strive to agree on the new lease terms without the need for court proceedings. Extending the time limit for the tenant's court application can facilitate negotiations.



- (2) Renewal lease by the tenant (s.26 request)

- **S.26 LTA 1954** → Mechanism by which a tenant with security of tenure can proactively bring the current tenancy to an end and request a new tenancy

- Reasons for using a **s.26 Request**

- Tenant wants a new lease: The tenant wants to continue occupying the premises but prefers new lease terms
- To facilitate agreement: Tenant plans to assign the lease and believes a fresh fixed-term lease will make the tenancy more attractive to assignees

- **Requirements of a s.26 Request**

- **(1) Termination date**: The request must specify the date the tenant wants the new tenancy to start. This date cannot be earlier than the date the tenancy could have been terminated under common law.
- **(2) Notice period**: The tenant must give the landlord **6 to 12 months' notice** of the desired termination date.
- **(3) Proposals for the New Lease**: Must include the tenant's proposals for the terms of the new tenancy.

- **LL's response to a s.26 request**

- **Counter-notice:**

- If LL intends to oppose the grant of a new tenancy, **it must serve a counter-notice within 2 months** of receiving the tenant's s.26 request
- **The counter-notice must state the statutory grounds for opposition under s.30 grounds**

- **No counter-notice:**

- If LL does not oppose the new tenancy, no counter-notice is required.
- Negotiations for the new lease terms can proceed

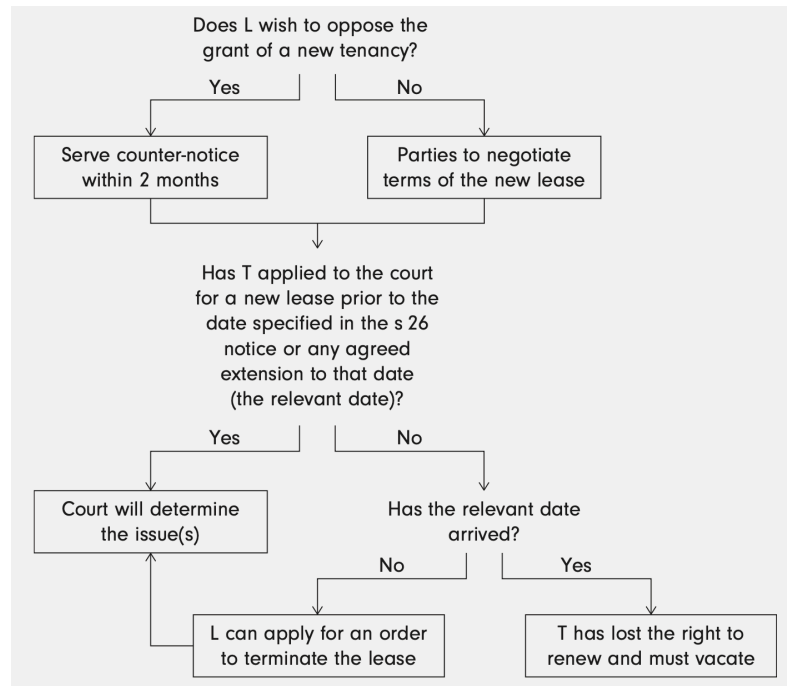
- **Application to Court**

- **(a) If LL opposes:**

- Tenants must apply to court for a new lease **BEFORE** the date specified in the s.26 request for the commencement of the new tenancy.
 - Otherwise tenant might lose protection
- LL may preempt the tenant's application by applying to court to terminate the tenancy based on stated s.30 grounds
 - UNLESS tenant has already applied

- **(b) If LL does not oppose:**

- Tenant should still apply to court before the new tenancy's proposed start date to safeguard their position
- The court application deadline can be extended by mutual agreement if negotiations are proceeding well.



- **Landlord's grounds of opposition (s.30 grounds)**

- **RULE:** If a landlord opposes the renewal of a tenancy, they **must specify one or more of the seven grounds under s.30** in their **s.25 notice** or **counter-notice to the tenant's s.26 request**.

S.30 GROUNDS	
Discretionary grounds	(1a) Failure to repair • Tenant has not kept the property in good repair • The property has to be in disrepair AT THE MOMENT the LL wants to use this ground. Cannot use a historic breach of repair covenants.
	(2b) Persistent rent delays
	(3c) Substantial breach of obligations • However, if LL had ignored the breaches and took no action, the court might not allow this ground to be used
	(4e) Tenancy is an underletting (sublease) of part
• Court will decide whether or not to allow the tenant a new lease. • LL must establish AND show that the tenant ought not to be granted a new tenancy, given the circumstances. • Cases typically involve a court hearing with evidence and legal arguments. Costly.	
Mandatory grounds	(5d) Alternative accommodation offered – Landlord has provided suitable and reasonable alternative premises.
	(6f) Demolition or reconstruction – Landlord intends to demolish or rebuild and needs possession to do so

	LL must show: • Firm and settled intention to carry out the relevant work. Necessary PPs and finances are in place • Substantial works are planned, or the premises need to be demolished • The work cannot be reasonably done without obtaining possession (7g) LL's own occupation – LL intends to use the property for their own business / residence. LL must: • Have owned the property for at least 5 years (unless they initially purchased it with vacant possession, lets it, then seeks possession within 5 years of buying it) • Demonstrate a firm and realistic intention to occupy • Show a reasonable chance of achieving this intention, but doesn't have to show that its business will be a success in that location
If the landlord satisfies the conditions, court MUST refuse the tenant a new lease Green = Compensation available • Lower rate: Rateable value of the holding • Higher rate: Double the rateable value of the holding. If the tenant and their predecessors in the same business have occupied it for at least 14 years.	

- **Terms of the new lease**

- Scope of the new lease:
 - The tenant is entitled to a lease of the 'holding', which includes the property **currently occupied** under the tenancy
 - Excludes parts sublet by the tenant, but **LL can require the lease to include the entire originally demised property.**
 - → Although the tenant is only entitled to a new lease of the 'holding', LL can insist that any new tenancy will be a tenancy of the whole of the originally demised property including any parts that have subsequently been underlet + That the rent is open market rent having regard to the other terms of the tenancy.
- Duration:
 - The lease term must be reasonable but **cannot exceed 15 years**
 - → This is the longest duration the court can grant, but the parties **can negotiate this amongst themselves**
 - New lease will start **3 months and 4 weeks** after court proceedings are resolved (including appeal periods)
- Rent
 - Based on **open market rent**, DISREGARDING:
 - Tenant's occupation history.
 - Goodwill attached to the premises.
 - Tenant's voluntary improvements.
 - Any value added due to the tenant's license
 - **The court can include a rent review clause, even if absent in the previous lease.**
- Other Terms:
 - Determined by the court if parties cannot agree. Usually similar to the terms of the old lease, adjusted for relevant circumstances.

- **Tenant's Right to Reject:**

- The **tenant may apply to revoke the lease order** if the terms are unacceptable
- **LL cannot revoke the order but may appeal** the court's decision.

- **Compensation**

- If LL opposes renewal solely on **no-fault grounds (e, f, g)**: The tenant is not granted a new lease but it's entitled to compensation
 - **Note:** (d) is not a no fault ground. If LL can offer similar accommodation, no compensation is necessary
 - **Compensation** =
 - **Lower rate:** Equal to the rateable value of the holding
 - **Higher rate:** If the tenant and their predecessors in the same business have occupied it for **at least 14 years**, Double the rateable value of the holding
- **Restrictions on compensation clauses:** Any agreement to limit/exclude compensation is **VOID** if the tenant/predecessors have occupied the property for **5+ years**
 - ⇒ Compensation waivers are enforceable only if occupation has been **less than 5 years**